# KO 1 3.1.1 | Why Businesses Exist, Mission & Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.1 WHAT IS BUSINESS?

## WHY BUSINESSES EXIST

Businesses exist to provide goods and services that meet customer needs. In doing this they create value for their owners and other stakeholders.

Most private sector businesses aim to make a profit. Public sector organisations, charities and social enterprises may put a service or social purpose first.

What a business is trying to achieve depends on who owns it, how big it is and what stage it has reached.

## BUSINESS OBJECTIVES

**Profit** - a reward for the owners and a source of finance for investment.

**Growth** - measured by revenue, market share, number of outlets or employees.

**Survival** - often the priority for a start-up, or for any firm in a recession.

**Cash flow** - having enough cash to pay bills when they are due.

**Social and ethical** - e.g. cutting carbon emissions, paying suppliers fairly, supporting the local community.

## MISSION AND OBJECTIVES

A mission statement sets out the overall purpose and values of a business. It is usually qualitative and long term.

Objectives turn the mission into targets that can be measured. Mission → corporate objectives → strategy → functional objectives.

If the objectives do not support the mission, the mission is just words on a website.

## WHY SET OBJECTIVES?

Objectives give managers direction and focus, help departments work towards the same targets and give a basis for deciding how to use resources.

They also allow performance to be measured and reviewed, and can motivate staff if they are realistic and staff have been involved in setting them.

Objectives are most useful when they are measurable and have a time limit, e.g. increase revenue by 10% within two years.

## EXAM TRAP

Do not assume a business's main objective is profit. Check the ownership and the situation first - a social enterprise, or a start-up in its first year, may rank other objectives higher.

## ANALYSIS CHAIN

Clear objective → managers allocate resources towards the same target → departments coordinate → less waste and duplication → objective more likely to be achieved.

## TOP GRADE CONNECTION

Objectives only make sense in context. A survival objective is sensible in a downturn but may hold the business back once conditions improve. Judge which objective matters most for this business now.

# KO 2 3.1.1 | Measuring Profit

AQA A-LEVEL BUSINESS 7132 - UNIT 3.1 WHAT IS BUSINESS?

## REVENUE AND COSTS

**Revenue** (also called turnover or sales) = selling price × quantity sold.

**Fixed costs** do not change with output in the short run, e.g. rent, salaries, insurance.

**Variable costs** change directly with output, e.g. raw materials, packaging, piece-rate pay.

Total variable costs = variable cost per unit × output.

Total costs = fixed costs + total variable costs.

## CALCULATING PROFIT

Profit = total revenue - total costs. If the answer is negative, the business has made a loss.

**Worked example** - a café sells 4,000 coffees a month at £3.00. Variable cost is £0.80 per coffee and fixed costs are £6,000 a month.

Revenue = 4,000 × £3.00 = £12,000

Total costs = £6,000 + (4,000 × £0.80) = £9,200

Profit = £12,000 - £9,200 = £2,800 per month

## WHY PROFIT MATTERS

Profit is the reward to owners for taking a risk and investing their money.

Retained profit is the main internal source of finance for investment and growth.

Profit is a signal to shareholders, banks and other lenders that the business is worth investing in.

It is a common measure of how well the business and its managers are performing.

## PROFIT IS NOT CASH

Profit compares revenue with costs over a period. Cash is the money actually in the bank.

A profitable business can still run out of cash, for example if customers pay late or a lot of money is tied up in inventory.

This links to cash flow forecasting and the three measures of profit in Unit 3.5.

## EXAM TRAP

Total revenue is not total costs plus total contribution, because total costs already include fixed costs. Total contribution = revenue - total variable costs. Always show £ signs in your answer.

## ANALYSIS CHAIN

Cheaper supplier → lower variable cost per unit → total costs fall at every level of output → profit rises, as long as quality and sales are not affected.

## TOP GRADE CONNECTION

A rise in profit is not automatically good news. Ask why it rose: a one-off price rise or a cost cut that damages quality may not last. Compare profit with revenue and with previous years.

# KO 3 3.1.2 | Forms of Business

AQA A-LEVEL BUSINESS 7132 - UNIT 3.1 WHAT IS BUSINESS?

## SOLE TRADERS, LTDS AND PLCS

**Sole trader** - one owner, keeps all the profit and has full control, but has unlimited liability and limited access to finance.

**Private limited company (Ltd)** - a separate legal identity from its owners and limited liability. Shares are sold privately and existing owners can control who buys them.

**Public limited company (plc)** - can sell shares to the public on a stock exchange and raise large sums, but faces greater disclosure, shareholder pressure and the risk of takeover.

## LIABILITY AND SHARE CAPITAL

**Unlimited liability** - the owner is personally responsible for all the business's debts, so personal assets such as a house are at risk.

**Limited liability** - shareholders can lose only the money they have invested.

**Ordinary share capital** - money raised by selling shares. It does not have to be repaid. Ordinary shareholders usually get votes and a share of the profit paid as dividends.

## PUBLIC SECTOR, NON-PROFIT AND SOCIAL ENTERPRISE

Private sector organisations are owned by individuals or shareholders. Public sector organisations are owned or controlled by the government, e.g. the NHS.

Non-profit organisations, such as charities, use any surplus for their purpose rather than paying it to owners.

Social enterprises trade like a business but have a social or environmental purpose and reinvest most of their profit in it.

## WHY CHANGE FORM?

**Sole trader → Ltd** - limited liability, easier to raise finance, more credibility with suppliers and customers.

**Ltd → plc** - raise large amounts of share capital to fund growth; original owners can sell some of their shares.

**plc → Ltd** (going private) - escape short-term pressure from the stock market, publish less information and keep control.

## EXAM TRAP

A Ltd cannot sell shares to the public - only a plc can. Limited liability protects the shareholders, not the company, which still owes its debts. A plc is in the private sector, not the public sector.

## ANALYSIS CHAIN

Sole trader becomes a Ltd → owner's personal assets protected → more willing to borrow and invest in expansion → faster growth, although accounts become public and admin costs rise.

## TOP GRADE CONNECTION

The right form depends on the owner's priorities: control, how much finance is needed and attitude to risk. Floating as a plc brings capital but can shift objectives towards short-term returns.

# KO 4 3.1.2 | Shareholders, Share Price & Ownership

AQA A-LEVEL BUSINESS 7132 - UNIT 3.1 WHAT IS BUSINESS?

## WHY SHAREHOLDERS INVEST

**Dividends** - a share of the profit paid out, usually as an amount per share.

**Capital gain** - selling the shares later for more than was paid for them.

**Voting rights** - shareholders vote at the AGM, elect directors and can influence decisions.

Many shares are held by institutions such as pension funds, which need steady returns for their own members.

## MARKET CAPITALISATION AND DIVIDENDS

Market capitalisation = number of shares issued × current share price.

**Example** - 20 million shares × £2.50 = £50 million.

Directors decide how much profit to pay out as dividends. A higher dividend pleases shareholders now, but leaves less retained profit for investment.

## SHARE PRICE - CAUSES AND EFFECTS

Share prices are set by supply and demand for the shares. They are affected by profit forecasts, dividend announcements, new contracts or products, takeover rumours, changes of management and economic conditions such as interest rates.

A falling share price makes a takeover cheaper, makes it harder to raise new share capital and reduces shareholders' wealth. Day-to-day changes often make no difference to how the business is run.

## OWNERSHIP, MISSION AND OBJECTIVES

In owner-managed and family businesses, the mission often reflects the founder's values and long-term control matters.

In a plc, ownership and control are separated. Shareholders can push directors towards short-term profit and dividends.

Employee-owned businesses, social enterprises and the public sector may put members, purpose or service ahead of profit.

## EXAM TRAP

Market capitalisation is not the value of the company's assets or its revenue. It is what the market values the shares at today, and it changes every time the share price moves.

## ANALYSIS CHAIN

Profit warning → investors expect lower future dividends → demand for the shares falls → share price falls → market capitalisation falls → business becomes easier to take over.

## TOP GRADE CONNECTION

Shareholders are not all the same. Short-term investors may want dividends now, while long-term holders may back investment that cuts this year's profit. Whether short-termism is a problem depends on who owns the shares.

# KO 5 3.1.3 | The External Environment: Costs & Demand

AQA A-LEVEL BUSINESS 7132 - UNIT 3.1 WHAT IS BUSINESS?

## COMPETITION AND MARKET CONDITIONS

More competitors give customers more choice. Each firm may sell less or have to cut prices, which squeezes margins. Competition can also push firms to cut costs and innovate.

Market conditions: is the market growing, static or shrinking? In a growing market a business can increase sales without taking customers from rivals. In a shrinking market, competition usually becomes fiercer.

## INCOMES

When real incomes rise, demand for most products increases, especially luxury items such as holidays and eating out.

Demand for inferior goods, such as budget own-label products, may fall as customers trade up.

When incomes fall the opposite happens, and discount retailers can gain at the expense of premium brands.

## INTEREST RATES

**Costs** - higher interest rates increase the cost of loans and overdrafts. This hits highly geared businesses hardest.

**Demand** - households with mortgages and credit card debt have less to spend. Demand for products often bought on credit, such as cars and furniture, tends to fall. Saving also becomes more attractive than spending.

## DEMOGRAPHICS, ENVIRONMENT AND FAIR TRADE

**Demographic factors** - the size and structure of the population. An ageing population increases demand for healthcare and leisure for older people; migration can increase both labour supply and demand.

**Environmental issues** - customers may prefer sustainable products, while regulation and green taxes can raise costs.

**Fair trade** - guaranteed minimum prices to producers raise input costs but can support a premium price and reputation.

### EXAM TRAP

Be clear whether you are analysing the effect on costs or on demand, and say which. An interest rate rise can affect both - finance costs go up and customer spending goes down.

### ANALYSIS CHAIN

Interest rates rise → mortgage repayments rise → households have less disposable income → demand for non-essential items such as new kitchens falls → revenue and profit fall.

### TOP GRADE CONNECTION

The same change affects businesses differently. A rise in interest rates matters far more to a highly geared firm selling items bought on credit than to a cash-rich supermarket selling essentials. Use the case to judge the size of the impact.

# KO 1 3.2.1 | Management & Leadership Styles

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING**

## MANAGEMENT AND LEADERSHIP

**Managers** plan, organise, coordinate and control resources to achieve objectives. The focus is on systems and getting tasks done.

**Leaders** set direction and influence and inspire people, particularly during change.

A good manager is not always a good leader, and the other way round. Most senior roles need both.

## FOUR LEADERSHIP STYLES

**Autocratic** - the leader decides alone and tells staff. Quick and clear, but can demotivate skilled staff.

**Paternalistic** - the leader decides, but in what they believe is the staff's best interest, and cares about their welfare. Builds loyalty but gives little real involvement.

**Democratic** - staff are consulted and involved. Brings in ideas and commitment, but decisions are slower.

**Laissez-faire** - the leader sets broad goals and leaves staff to decide how. Works with skilled, motivated staff; can lead to drift.

## INFLUENCES ON STYLE

The leader's personality and experience.

The skills, experience and attitudes of the workforce.

How urgent the decision is - a crisis usually needs a more directive style.

The nature of the task (routine or creative) and the level of risk, e.g. safety.

The size and culture of the organisation.

## HOW EFFECTIVE IS EACH STYLE?

No style works best in every situation. Autocratic leadership may suit a crisis or a large, inexperienced workforce. Democratic leadership suits creative work and change where staff support matters. Laissez-faire suits teams of experts, such as a research team.

Judge effectiveness by results: productivity, quality, staff turnover and morale.

## EXAM TRAP

Don't describe laissez-faire as lazy leadership or assume democratic is always best. Each style can work well or badly depending on the staff and the situation.

## ANALYSIS CHAIN

Democratic style → staff consulted on changes → feel valued and understand the reasons → less resistance → change implemented more smoothly → productivity may rise, though decisions take longer.

## TOP GRADE CONNECTION

Match the style to the situation in the case. The same manager may need to be autocratic during a safety crisis and democratic when the team is redesigning a product.

# KO 2 3.2.1 | The Tannenbaum Schmidt Continuum

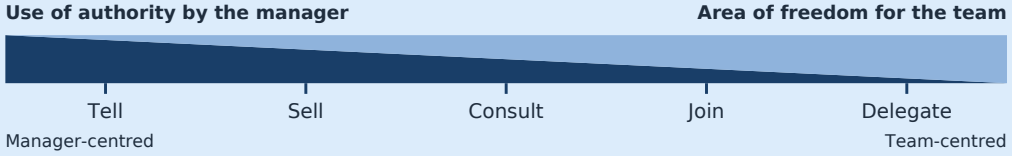
**AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING**

## WHAT IT SHOWS

A range of leadership behaviour, from manager-centred at one end to subordinate-centred at the other.

Moving along the continuum, the manager uses less authority and the team has more freedom to make decisions.

It is a scale, not two fixed styles - a manager can sit anywhere along it and can move for different decisions.




## THE STAGES

**Tell** - the manager makes the decision and announces it.

**Sell** - the manager decides, then persuades staff it is right.

**Consult** - the manager presents the problem, listens to suggestions, then decides.

**Join** - the manager sets the limits and the group decides together.

**Delegate** - the team makes decisions within limits set by the manager.

## WHAT DECIDES WHERE A MANAGER SITS?

**The manager** - their values and how much they trust the team.

**The team** - their skills, experience and whether they want responsibility.

**The situation** - time pressure, how complex the problem is, the level of risk and the culture of the business.

## USING IT IN AN ANSWER

Place the manager's current approach on the continuum, then argue whether they should move towards tell or towards delegate given the decision in the case.

Moving towards delegate links to empowerment and to motivation in Unit 3.6 - Herzberg includes responsibility as a motivator.

## EXAM TRAP

You can link the continuum to the four styles (tell is close to autocratic, consult to democratic, delegate to laissez-faire), but when a question names the model, use its own language.

## ANALYSIS CHAIN

Move from tell to consult → staff ideas are used → better decisions and stronger commitment → but decisions take longer → a problem if the business must respond quickly.

## TOP GRADE CONNECTION

The model describes leadership; it does not give you the right answer. Use the case to decide where the manager should be, and say what this depends on - time, staff skills and risk.

# KO 3 3.2.2 | Scientific & Intuitive Decision Making

AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING

## SCIENTIFIC DECISION MAKING

Decisions based on data and a logical process: set objectives → gather data → analyse the data → select a strategy → implement → review, then back to the start.

Tools include decision trees, market research, break-even and investment appraisal.

**Value** - reduces risk, less influenced by bias and easy to justify to others.
**Limits** - data can be expensive, out of date or unreliable, and the process can be slow.

## INTUITION

Decisions based on gut feeling, experience and judgement.

Useful when there is little data (a new product or market), when speed matters, or when the manager knows the market well.

Risks: personal bias, overconfidence and decisions that are hard to justify to investors or lenders.

## RISK, REWARD, UNCERTAINTY, OPPORTUNITY COST

**Risk** - the chance that the outcome is worse than expected. It can often be estimated.

**Uncertainty** - when the possible outcomes or their likelihood cannot be known.

**Reward** - the expected benefit, such as profit or market share.

**Opportunity cost** - the next best alternative given up.

## INFLUENCES ON DECISIONS

Mission and objectives.

Ethics - what is right, not only what is profitable.

The external environment, including competition.

Resource constraints: finance, staff, capacity and time.

Also the owners' attitude to risk and the quality of the information available.

## EXAM TRAP

Scientific decision making does not guarantee a good decision. The result is only as good as the data and the assumptions behind it.

## ANALYSIS CHAIN

Market research before a launch → better estimate of demand → right production volume → less unsold inventory → lower costs and higher profit.

## TOP GRADE CONNECTION

Most real decisions use both: data narrows the options and experience makes the final call. Judge the balance by how reliable the data is and how quickly the decision has to be made.

# KO 4 3.2.2 | Decision Trees

AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING

## HOW THEY WORK

A square is a decision point. A circle is a chance node, where outcomes have probabilities.

The probabilities at each chance node add up to 1.

Each outcome has a financial pay-off, and the cost of each option is shown on its branch.

Rejected options are crossed with a double line.

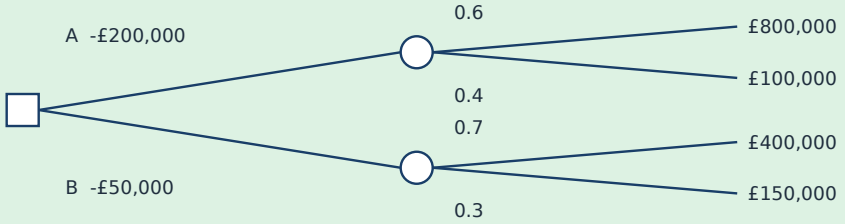
## CALCULATIONS

Expected value (EV) = sum of (probability × pay-off) for each outcome.

Net gain = expected value - cost of the option.

If the objective is financial, choose the option with the highest net gain.

Show every step and include £ signs.




## WORKED EXAMPLE

**Option A** - launch a new product, cost £200,000. Success (0.6) £800,000; failure (0.4) £100,000.

EV = (0.6 × £800,000) + (0.4 × £100,000) = £520,000. Net gain = £320,000.

**Option B** - upgrade the existing product, cost £50,000. Success (0.7) £400,000; failure (0.3) £150,000.

EV = (0.7 × £400,000) + (0.3 × £150,000) = £325,000. Net gain = £275,000.

## VALUE AND LIMITATIONS

**Value** - sets out the options clearly, makes managers think about risk and puts numbers on each outcome.

**Limitations** - probabilities and pay-offs are estimates. The EV is an average and will never actually happen. It ignores qualitative factors such as staff and reputation, the owners' attitude to risk and when the returns arrive.

## EXAM TRAP

Net gain is expected value minus cost, not total pay-off minus cost. Probabilities at a chance node must add up to 1 - check this first.

## ANALYSIS CHAIN

Option A has the higher net gain → on the numbers it should be chosen → but if it fails the pay-off (£100,000) is less than its cost → a business short of cash may prefer option B.

## TOP GRADE CONNECTION

Look at the spread of outcomes, not just the expected value. A cautious or cash-poor business may sensibly choose the option with the lower net gain. Ask where the probabilities came from.

# KO 5 3.2.3 | Stakeholders: Needs, Overlap & Conflict

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING**

## WHO ARE STAKEHOLDERS?

Individuals or groups who affect, or are affected by, the business.

**Internal** - employees, managers, owners and shareholders.

**External** - customers, suppliers, lenders, the local community, government and pressure groups.

Shareholders own part of a company. They are one type of stakeholder.

## WHAT THEY WANT

**Shareholders** - dividends and a rising share price.

**Employees** - fair pay, job security, good conditions.

**Customers** - quality, value for money, good service.

**Suppliers** - regular orders and prompt payment.

**Community** - local jobs, low pollution and congestion.

**Government** - tax, jobs and legal compliance.

## OVERLAP

Needs often overlap. A successful, profitable business can pay dividends, protect jobs, pay suppliers on time and pay tax.

Staff who are treated well tend to give better service, which helps customers and, in turn, shareholders.

Interests are more likely to overlap in the long run.

## CONFLICT

In the short run, interests often clash: higher pay against higher dividends; lower prices against margins; relocating to cut costs against local jobs; paying suppliers later against suppliers' cash flow.

Businesses consider stakeholder needs to avoid strikes or boycotts, protect their reputation, meet the law and secure long-term success.

## EXAM TRAP

Stakeholders and shareholders are not the same. Don't just list stakeholders - pick the ones the decision in the case actually affects and explain how.

## ANALYSIS CHAIN

Factory closed to cut costs → shareholders gain from higher profit → local staff lose their jobs → bad publicity → customers in the area switch → some of the cost saving is lost.

## TOP GRADE CONNECTION

Whether a conflict matters depends on the time period and on power. Many conflicts fade in the long run, when treating staff and suppliers well also supports profit.

# KO 6 3.2.3 | Stakeholder Mapping & Managing Relationships

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING**

## STAKEHOLDER MAPPING

Places stakeholders on a grid by **power** (ability to influence decisions) and **interest** (how much they are affected or care).

**High power, high interest** - manage closely.

**High power, low interest** - keep satisfied.

**Low power, high interest** - keep informed.

**Low power, low interest** - monitor, minimal effort.

## USING THE MAP

Helps managers decide where to spend time and how to communicate with each group.

Shows who could block or delay a decision.

Positions change. A community group can gain power through media coverage; employees can gain power through union action.




## COMMUNICATION AND CONSULTATION

**Communication** - passing on information, e.g. newsletters, meetings, press releases, reports to investors.

**Consultation** - asking for views before deciding, e.g. talking to staff before redundancies or holding meetings with residents before building.

Consultation can improve decisions and reduce resistance, but it takes time and can raise expectations.

## INFLUENCES ON THE RELATIONSHIP

The objectives and ethics of the business.

Leadership style and culture.

The power of each group.

Legal requirements, e.g. consultation before large-scale redundancies.

The financial position of the business.

## EXAM TRAP

Power and interest are separate. A regulator may have great power but little interest in a small firm, while local residents can be very interested but have little power.

## ANALYSIS CHAIN

Consult staff early on a restructure → concerns heard and plans adjusted → less resistance and lower risk of industrial action → change happens faster and at lower cost.

## TOP GRADE CONNECTION

The map is a snapshot. Ask how a group's position could change - for example social media giving customers more power - and what that means for the decision.

# KO 1 3.3.1 | Marketing Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## WHAT AQA LISTS

**Sales volume** - the number of units sold.

**Sales value** - the revenue from those sales.

**Market size** - total sales of all businesses in the market, by volume or value.

**Market growth and sales growth** - the % change in the size of the market, or in the business's own sales.

**Market share** - the business's sales as a % of total market sales.

**Brand loyalty** - customers choosing to buy the brand again and again.

## WHY SET MARKETING OBJECTIVES?

They give the marketing department a clear target and a way of measuring whether its activities have worked.

They help decide how the marketing budget is spent and which parts of the marketing mix to change.

They should come from the corporate objectives, e.g. a corporate objective of growth might become a target for market share.

## INFLUENCES ON MARKETING OBJECTIVES

Corporate objectives and the finance available.

Market conditions and competition - is the market growing or shrinking, and how are rivals behaving?

The position of products in their life cycle.

Technology, e.g. the growth of online sales.

Ethical and environmental influences.

## CHOOSING THE RIGHT MEASURE

Volume and value can move in different directions. A price cut can raise volume while value falls.

A business can increase its sales but lose market share if the market is growing faster than it is.

Brand loyalty is a long-term objective. It can allow higher prices and lower marketing costs per sale.

## EXAM TRAP

Don't treat sales volume and sales value as the same thing. Read whether the question or data is in units or in £.

## ANALYSIS CHAIN

Objective to raise market share → spending shifted to promotion and distribution → more customers try the product → share rises, but margins may fall if price cuts are used.

## TOP GRADE CONNECTION

An objective is only useful if it fits the market. In a shrinking market, holding share may be a good result; in a fast-growing market, a 5% rise in sales may actually be a loss of share.

# KO 2 3.3.2 | Market Research & Sampling

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## PRIMARY AND SECONDARY RESEARCH

**Primary** - new data collected for a specific purpose, e.g. surveys, interviews, focus groups, observation, test marketing. Up to date and specific to the business, but costly and slow.

**Secondary** - data that already exists, e.g. government statistics, market reports, competitors' accounts, the firm's own sales records. Cheap and quick, but may be out of date or not quite fit the question.

## QUANTITATIVE AND QUALITATIVE DATA

**Quantitative** - numerical data, e.g. 62% of customers would buy at £5. Easy to analyse and compare, but does not explain why.

**Qualitative** - opinions, feelings and reasons, e.g. from a focus group. Explains customer behaviour but is harder to analyse and may not be representative.

Most businesses use both.

## SAMPLING METHODS

**Random** - everyone in the population has an equal chance of being chosen. Avoids interviewer bias but needs a full list of the population.

**Stratified** - the population is split into groups and a random sample is taken from each, in proportion. More representative, but needs more information.

**Quota** - the researcher must find a set number of people with certain characteristics. Quick and cheap, but the choice of who to ask can be biased.

## THE VALUE OF SAMPLING

A business cannot ask everyone, so a sample saves time and money.

The results are only useful if the sample is large enough and representative of the target market.

A bigger sample is usually more reliable but costs more. The right balance depends on how much is at stake in the decision.

## EXAM TRAP

Don't say primary research is always better. It is only better if it is well designed, well sampled and worth the cost and time.

## ANALYSIS CHAIN

Representative sample → findings reflect what the target market actually wants → product and price set correctly → fewer costly launch mistakes → lower risk.

## TOP GRADE CONNECTION

Judge research by whether it reduces the risk of the decision enough to justify its cost. A small firm with a tight budget may sensibly rely on secondary data and a quick quota sample.

# KO 3 3.3.2 | Market Data

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## CALCULATIONS

Market growth (%) = change in market size ÷ original market size × 100

Sales growth (%) = change in sales ÷ original sales × 100

Market share (%) = sales of one product, brand or business ÷ total sales in the market × 100

Market size = total sales of all businesses in the market (by volume or value).

## WORKED EXAMPLE

A market grows from £40m to £46m. A firm's sales rise from £5m to £5.52m.

Market growth = £6m ÷ £40m × 100 = 15%

Sales growth = £0.52m ÷ £5m × 100 = 10.4%

Market share falls from 12.5% (£5m ÷ £40m) to 12% (£5.52m ÷ £46m).

## CORRELATION AND EXTRAPOLATION

**Correlation** - a relationship between two variables. Positive: both rise together (e.g. advertising and sales). Negative: one rises as the other falls (e.g. price and sales). It can be strong or weak.

Correlation does not prove that one thing causes the other.

**Extrapolation** - extending a past trend into the future to forecast. It works only if conditions stay similar.

## CONFIDENCE INTERVALS

A range within which the true figure is likely to lie, at a stated level of confidence.

E.g. research finds 40% of customers would buy, with a 95% confidence interval of 37% to 43%. The business can be 95% confident the true figure is in that range.

A narrower interval gives more precise results. Larger samples narrow the interval.

## EXAM TRAP

Rising sales does not mean rising market share. If the market grows faster than the business, its share falls - as in the worked example.

## ANALYSIS CHAIN

Strong positive correlation between advertising and sales → more advertising is likely to raise sales → but other factors may explain the link → test before increasing the budget.

## TOP GRADE CONNECTION

Data is only as good as the conditions behind it. Extrapolation from a stable market is reasonable; in a market hit by new technology or a recession it can badly mislead.

# KO 4 3.3.2 | Price & Income Elasticity of Demand

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## PRICE ELASTICITY (PED)

Measures how much quantity demanded responds to a change in price.

**Price elastic** (above 1, ignoring the minus sign) - demand changes by a bigger % than the price.

**Price inelastic** (below 1) - demand changes by a smaller % than the price.

PED is normally negative because price and quantity move in opposite directions.

You need to interpret PED, not calculate it.

## PED AND REVENUE

**Inelastic** - a price rise increases revenue; a price cut reduces it.

**Elastic** - a price cut increases revenue; a price rise reduces it.

**Example** - PED is -0.4 and price rises 10%. Quantity falls by 4% (10 × 0.4), so revenue rises.

Influences on PED: number of substitutes, brand loyalty, whether the product is a necessity, and the share of income spent on it.

## INCOME ELASTICITY (YED)

Measures how much quantity demanded responds to a change in income.

**Positive YED** - a normal good: demand rises as income rises. Above 1, demand rises faster than income (often luxuries such as holidays).

**Negative YED** - an inferior good: demand falls as income rises, e.g. budget own-label food.

**Example** - YED is -0.5 and incomes rise 4%. Quantity demanded falls by 2%.

## VALUE TO MARKETING MANAGERS

PED helps set prices and predict the effect of a price change on revenue.

YED helps forecast sales when the economy grows or slows, and plan production and staffing.

Limitations: values are estimates based on past data, they change over time and competitors' actions can change them.

## EXAM TRAP

Inferior goods have negative YED, so demand falls when incomes rise. Inelastic does not mean demand doesn't change - it changes by a smaller % than price.

## ANALYSIS CHAIN

PED is inelastic → price rise causes a proportionately smaller fall in quantity → revenue rises → profit rises, provided costs do not rise faster.

## TOP GRADE CONNECTION

Elasticity is not fixed. Strong branding can make demand less price elastic, while new competitors can make it more elastic. Ask how reliable the estimate is and how long it will last.

# KO 5 3.3.3 | Segmentation, Targeting & Positioning

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## SEGMENTATION

Dividing a market into groups of customers with similar characteristics or needs.

**Demographic** - age, gender, family size.

**Geographic** - where customers live.

**Income** - how much customers earn.

**Behavioural** - how customers use or buy the product, e.g. loyalty, usage rate, occasion.

## TARGETING

Choosing which segment(s) to aim at.

**Niche marketing** - a small, specialised segment. Less competition and higher prices possible, but limited sales and risky if the segment shrinks.

**Mass marketing** - the whole market with one approach. High volume and economies of scale, but strong competition and price pressure.

Influences: size and growth of the segment, competition, the firm's resources and objectives.

## POSITIONING

How the business wants customers to see its product compared with competitors.

Influences: what the target market values, rivals' positions, the firm's strengths and costs.

The value of STP: a clearer target means a better matched marketing mix and less wasted marketing spend.

## MARKET MAPPING

Plots brands on two axes that matter to customers, e.g. price and quality. It can show gaps and clusters of competitors.




## EXAM TRAP

Segmentation is not just describing customers. Use the four methods AQA lists - demographic, geographic, income and behavioural - and explain how the chosen segment changes the marketing mix.

## ANALYSIS CHAIN

Market map shows a gap at a lower price with high quality → business positions a new product there → less direct competition → higher sales, provided it can be made at a cost that still leaves a margin.

## TOP GRADE CONNECTION

A gap on a market map is not automatically an opportunity - there may be no demand there. The value of STP depends on how accurately the business understands its customers.

# KO 6 3.3.4 | The 7Ps & an Integrated Mix

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## THE 7PS

**Product** - features, quality, design, brand.

**Price** - level and pricing strategy.

**Promotion** - how customers are told about and persuaded to buy the product.

**Place** - how and where it reaches customers.

**People** - staff who deal with customers.

**Process** - the systems customers go through, e.g. ordering, delivery, returns.

**Physical environment** - what customers see and experience, e.g. store layout, website design.

## CONSUMER AND INDUSTRIAL PRODUCTS

The mix applies to goods and services sold to consumers (B2C) and to other businesses (B2B).

Industrial buyers are often professional buyers making large, planned purchases. People (sales staff), reliability and after-sales service can matter more than advertising.

People, process and physical environment are especially important for services.

## AN INTEGRATED MIX

All elements of the mix support each other and send the same message. A premium price needs high quality, selective distribution and promotion that builds the brand.

If one element does not fit - e.g. a luxury brand sold through discount stores - customers become confused and the brand is damaged.

## INFLUENCES ON AN INTEGRATED MIX

AQA lists: position in the product life cycle; position in the Boston Matrix; product type; marketing objectives; target market; competition; positioning.

Changing one element changes the effect of the others, so decisions should be made together.

## EXAM TRAP

Don't use only the 4Ps for a service or B2B question. People, process and physical environment are often where marks come from.

## ANALYSIS CHAIN

Staff trained to give expert advice (people) → customers trust the business → more willing to pay a premium price → higher margins → mix supports premium positioning.

## TOP GRADE CONNECTION

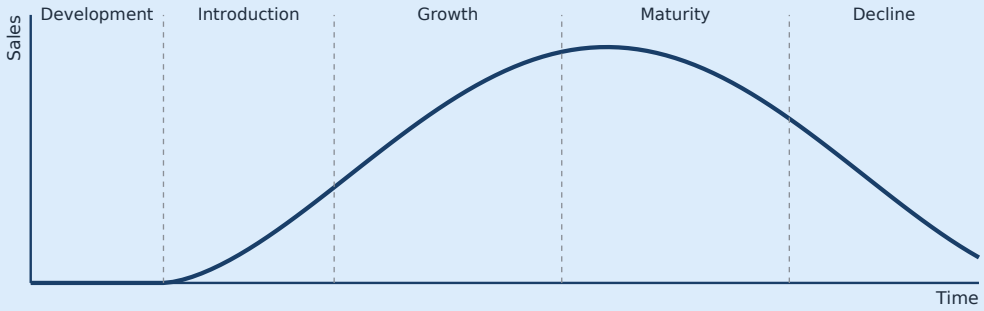
The best mix is the one that fits the target market and the objective. Judge which element matters most in the case, rather than describing all seven.

# KO 7 3.3.4 | Product: Life Cycle, Extension & NPD

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT**

## PRODUCT LIFE CYCLE

Development → introduction → growth → maturity → decline. Sales and profit change at each stage.




## CASH FLOW AND THE STAGES

**Development and introduction** - high spending, few sales, negative cash flow.

**Growth** - sales rising, competitors arriving, cash flow improving.

**Maturity** - sales peak, strong cash flow, competition fierce.

**Decline** - sales and profit fall. The business may withdraw the product or extend its life.

## EXTENSION STRATEGIES

Ways of lengthening the maturity stage or delaying decline: new uses, new markets, changes to packaging or design, new versions, price changes, new promotion.

Worth doing only if the cost is less than the extra contribution earned, and if the reason for falling sales can be fixed.

## NEW PRODUCT DEVELOPMENT

**Value** - replaces products in decline, keeps the portfolio balanced, can create a competitive advantage.

**Influences** - cost of R&D, competitors' activity, technology, customer needs, the finance available.

Many new products fail, so NPD is expensive and risky.

## EXAM TRAP

The life cycle is a model, not a timetable. You can't predict exactly when a product will move from one stage to the next.

## ANALYSIS CHAIN

Product reaches maturity → extension strategy (new version) → renewed customer interest → sales and cash flow continue → funds available for new product development.

## TOP GRADE CONNECTION

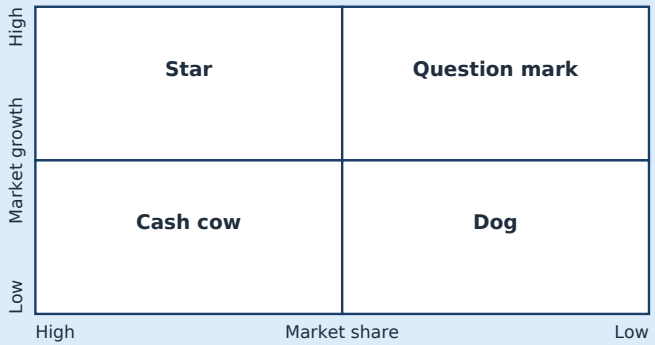
Decline may be caused by the business's own decisions, e.g. less promotion. Judge whether to extend or drop a product by comparing the cost of extending it with the cash it is likely to generate.

# KO 8 3.3.4 | Product: Portfolio Analysis



## THE BOSTON MATRIX

Places each product by market share and market growth.




## THE FOUR CATEGORIES

**Star** - high share, high growth. Earns a lot but needs investment to keep its position.

**Cash cow** - high share, low growth. Generates cash with little investment.

**Question mark** (problem child) - low share, high growth. Needs investment; could become a star or fail.

**Dog** - low share, low growth. Usually a weak cash generator.

## USING IT

Cash from cash cows can be used to support question marks and stars.

A balanced portfolio has products at different stages, so the business is not relying on one product.

It links to the product life cycle: question marks are often new products, cash cows are mature ones.

## LIMITATIONS

It is a snapshot at one point in time.

Defining the market and measuring share can be difficult.

A dog can still be profitable or support other products. Market share is not the only cause of success.

## EXAM TRAP

Don't automatically recommend dropping every dog. It may still make a positive contribution or have a loyal group of customers.

## ANALYSIS CHAIN

Cash cow generates strong cash flow → funds promotion of a question mark → question mark gains share → becomes a star → portfolio stays balanced as the cash cow declines.

## TOP GRADE CONNECTION

The matrix suggests questions rather than answers. Decide on each product using the case: its contribution, its prospects and what else the business could do with the money.

# KO 9 3.3.4 | Price

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## PENETRATION PRICING

A low price is set to gain market share quickly, then raised later.

Suits markets where demand is price elastic and where high volume brings economies of scale.

Risks: low margins at first, customers may resist later price rises, and a price war is possible.

## PRICE SKIMMING

A high price is set at launch, then lowered over time.

Suits new, innovative products with few competitors, where early buyers will pay a premium.

Helps recover development costs quickly, but high margins attract competitors.

## INFLUENCES ON PRICING DECISIONS

Price elasticity of demand and the target market.

Costs - the price must cover costs in the long run.

Competitors' prices and the level of competition.

Marketing objectives and positioning.

The stage of the product life cycle and the rest of the marketing mix.

## DYNAMIC PRICING

Technology allows prices to change quickly in response to demand, time or customer data, e.g. airline seats, taxi apps, hotel rooms.

Can raise revenue and fill spare capacity, but customers may see it as unfair - an ethical issue.

## EXAM TRAP

Penetration and skimming are about what happens over time - one starts low, the other starts high. A price cut does not automatically raise revenue or profit; it depends on PED and costs.

## ANALYSIS CHAIN

Skimming at launch → high margin from early buyers → development costs recovered quickly → cash available for marketing, though rivals are attracted by the high margins.

## TOP GRADE CONNECTION

The right price depends on the whole mix and the product's position. Penetration pricing would undermine a premium brand, however quickly it might build share.

# KO 10  3.3.4 | Promotion

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## THE PROMOTIONAL MIX

The combination of methods used to tell customers about a product and persuade them to buy, e.g. advertising, sales promotion, public relations, personal selling, social media.

The right mix depends on the target market, the budget, the product, its stage in the life cycle and what competitors do.

## BRANDING

A brand is a name, design or image that makes a product recognisable and different from rivals.

Strong brands build loyalty, make demand less price elastic and support premium prices and new product launches.

Building a brand takes time and money, and a brand can be damaged quickly by bad publicity.

## SOCIAL MEDIA

Allows targeted promotion at relatively low cost and two-way communication with customers.

Results can be measured, e.g. clicks, shares and conversions.

Negative comments spread quickly and the business has less control over the message.

## VIRAL MARKETING

Content that customers share with each other, spreading the message rapidly at little cost to the business.

Can reach huge numbers quickly, but it is hard to predict what will go viral, and the message can be changed or mocked as it spreads.

## EXAM TRAP

Social media and viral marketing are not free. Content still costs time and money to produce, and reach does not guarantee sales.

## ANALYSIS CHAIN

Strong brand built through consistent promotion → customers trust the product → less price sensitive → business can charge a premium → higher margins.

## TOP GRADE CONNECTION

Judge promotion against what it is meant to achieve. A viral campaign may build awareness quickly but do little for loyalty; for an industrial product, personal contact may matter more than either.

# KO 11  3.3.4 | Place, People, Process & Physical Environment

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT**

## DISTRIBUTION (PLACE)

How the product gets to the customer, either directly or through intermediaries such as wholesalers and retailers.

Influences: the type of product, the target market, cost, the level of control the producer wants and what rivals do.

## MULTI-CHANNEL DISTRIBUTION

Using more than one channel, e.g. own stores, website, app and other retailers.

Reaches more customers and lets them buy in the way that suits them.

Harder to manage: stock must be coordinated across channels, prices and service must be consistent, and channels can compete with each other.

## PEOPLE AND PROCESS

**People** - staff knowledge, attitude and appearance affect how customers see the product, especially for services.

**Process** - how easy it is to buy, receive and return the product, e.g. ordering systems, waiting times, delivery tracking.

Good people and process can be hard for competitors to copy.

## PHYSICAL ENVIRONMENT

What customers see, hear and experience when buying - store layout, décor, cleanliness, website design, packaging.

It gives evidence of quality, which matters most for services that can't be seen before they are bought.

## EXAM TRAP

Place is not just the location of a shop. It covers every channel through which customers get the product, including online.

## ANALYSIS CHAIN

Adding an online channel → customers can buy at any time → sales rise → but delivery and returns costs rise → profit improves only if the extra contribution covers these costs.

## TOP GRADE CONNECTION

The extended mix is often where a business gains an advantage rivals can't easily copy. Judge which element matters most for the product in the case.

# KO 12  3.3.4 | Digital Marketing & E-commerce

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

## DIGITAL MARKETING

Marketing through digital channels such as websites, search engines, social media, email and apps.

Allows precise targeting using customer data, quick changes to campaigns and accurate measurement of results.

## E-COMMERCE

Buying and selling online.

**Value** - access to a wider or international market, open all the time, lower premises costs, customer data collected automatically.

**Drawbacks** - strong price competition, delivery and returns costs, the need for secure, reliable systems.

## RELATIONSHIP MARKETING

Building long-term relationships with customers rather than focusing on single sales, e.g. loyalty schemes, personalised offers, good after-sales service.

Keeping customers is usually cheaper than winning new ones, and loyal customers tend to spend more.

## ETHICAL AND ENVIRONMENTAL INFLUENCES

Use of customer data and privacy.

Honest advertising and responsible targeting, especially of children.

Environmental claims, packaging and delivery miles.

Acting ethically may raise costs but can protect reputation and build trust.

## EXAM TRAP

E-commerce is not always cheaper than a shop. Delivery, returns, website development and online advertising can be significant costs.

## ANALYSIS CHAIN

Customer data from online sales → personalised offers → customers feel the brand understands them → repeat purchases rise → higher lifetime value per customer.

## TOP GRADE CONNECTION

Technology only gives an advantage if the business uses it better than rivals and keeps customers' trust. Easy-to-copy digital tactics rarely give a lasting edge.

# KO 1 3.4.1 | Operational Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## WHAT AQA LISTS

**Costs** - e.g. reduce unit costs by 5%.

**Quality** - e.g. cut the number of faulty products or complaints.

**Speed of response** - how quickly the business can meet orders or react to changes.

**Flexibility** - the ability to change the volume or range of products.

**Environmental objectives** - e.g. cut waste, energy use or emissions.

**Added value** - increase the difference between the price and the cost of bought-in goods and services.

## ADDED VALUE

Added value = sales revenue - cost of bought-in goods and services

It can be increased by raising the price customers will pay (better design, branding, service) or by reducing the cost of bought-in materials and services.

## WHY SET OPERATIONAL OBJECTIVES?

They give the operations team clear targets and a way of measuring performance.

They help coordinate operations with marketing, finance and HR.

They should support the corporate objectives, e.g. a low-cost strategy needs cost objectives; a premium brand needs quality objectives.

## INFLUENCES AND TRADE-OFFS

Influences: corporate objectives, the market and competition, technology, the resources available, and ethical and environmental pressures.

Objectives can conflict. Cutting costs may reduce quality; faster response may need more inventory, which raises costs.

## EXAM TRAP

Added value is not the same as profit. It takes away only the cost of bought-in goods and services, not other costs such as wages and rent.

## ANALYSIS CHAIN

Objective to cut energy use → investment in efficient machinery → lower running costs and emissions → lower unit costs and a better environmental image.

## TOP GRADE CONNECTION

Which objective matters most depends on how the business competes. A budget airline puts cost first; a bespoke furniture maker puts quality and flexibility first.

# KO 2 3.4.2 | Operations Data

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## CALCULATIONS

Labour productivity = output over a time period ÷ number of employees

Unit cost (average cost) = total costs ÷ number of units of output

Capacity = the maximum output a business can produce in a given period with its current resources.

Capacity utilisation (%) = actual output ÷ maximum possible output × 100

## WORKED EXAMPLE

A factory can make 2,000 units a week. It makes 1,500 units with 25 staff. Total costs are £30,000 a week.

Capacity utilisation = 1,500 ÷ 2,000 × 100 = 75%

Labour productivity = 1,500 ÷ 25 = 60 units per employee per week

Unit cost = £30,000 ÷ 1,500 = £20

## USING THE DATA

Compare figures over time and with competitors to spot strengths and weaknesses.

Higher labour productivity usually lowers labour cost per unit.

Higher capacity utilisation spreads fixed costs over more units, lowering unit costs.

Operations data helps decide whether to invest, change staffing or change production methods.

## INTERPRETING WITH CARE

Productivity figures ignore quality - faster output with more faults is not an improvement.

Unit costs depend on output. If output falls, fixed costs are spread over fewer units and unit cost rises.

One figure in isolation says little; look at trends and the reasons behind them.

## EXAM TRAP

Always give units and £ signs: 60 units per employee per week, £20 per unit, 75%. A bare number loses marks.

## ANALYSIS CHAIN

Capacity utilisation rises from 60% to 85% → fixed costs spread over more units → unit cost falls → business can cut price or earn a higher margin.

## TOP GRADE CONNECTION

Ask why a figure has changed. Productivity can rise because of better training, or because staff are being pushed harder in a way that will raise absence and turnover later.

# KO 3 3.4.3 | Capacity

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## WHY CAPACITY MATTERS

Capacity sets the maximum a business can supply. Too little means lost sales; too much means paying for resources that are not used.

Capacity utilisation affects unit costs because fixed costs are spread over the units produced.

## UNDER-UTILISATION

Low utilisation means high fixed costs per unit and possibly idle staff with low morale.

Ways to improve: increase sales (promotion, new markets), make products for other firms, rent out spare space, or reduce capacity (sell assets, close sites, cut shifts).

## VERY HIGH UTILISATION

Running close to 100% gives low unit costs, but leaves no time for maintenance, little room for extra orders and puts pressure on staff.

Quality can suffer and orders may be turned away.

Options: extra shifts, subcontracting work, temporary staff, or investing in more capacity.

## USING CAPACITY EFFICIENTLY

Match capacity to expected demand, including seasonal patterns.

Use flexible staff and outsourcing to cope with peaks rather than carrying permanent spare capacity.

Technology and better scheduling can increase capacity without major investment.

## EXAM TRAP

100% is not the ideal capacity utilisation. Very high utilisation brings its own problems - no slack for maintenance, breakdowns or rush orders.

## ANALYSIS CHAIN

Utilisation falls as demand drops → fixed costs spread over fewer units → unit cost rises → margins squeezed → pressure to cut capacity or win new orders.

## TOP GRADE CONNECTION

Whether low utilisation is a problem depends on the cause. A temporary seasonal dip may be best handled with flexible staff, while a long-term fall in demand may justify closing capacity.

# KO 4 3.4.3 | Efficiency, Productivity & Technology

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## EFFICIENCY AND PRODUCTIVITY

**Efficiency** - producing output with the fewest resources, i.e. at the lowest unit cost.

**Labour productivity** - output per worker in a period.

Higher productivity lowers unit labour costs, which can mean lower prices or higher margins.

## INCREASING EFFICIENCY AND PRODUCTIVITY

Training staff and improving motivation.

Better equipment and technology.

Improving the way work is organised, e.g. layout, scheduling, removing wasted steps.

Lean production methods.

## DIFFICULTIES

Investment in equipment and training costs money and takes time to pay back.

Staff may resist new methods or fear job losses.

Pushing for speed can damage quality and morale.

## LABOUR OR CAPITAL INTENSIVE?

**Labour intensive** - relies mainly on people, e.g. a hairdresser or handmade goods. Flexible and suits personal service, but labour costs are high.

**Capital intensive** - relies mainly on machinery and technology, e.g. a car factory. Low unit costs at high volume, but high fixed costs and less flexible.

The optimal mix depends on the product, volume, costs of labour and capital, and what customers value. Automation and robotics are pushing many firms towards capital.

## EXAM TRAP

Productivity and production are not the same. Production is total output; productivity is output per worker. Production can rise while productivity falls.

## ANALYSIS CHAIN

Investment in automation → more output per worker → lower labour cost per unit → lower prices or higher margins → more competitive, once the cost of the machinery is recovered.

## TOP GRADE CONNECTION

Technology is not always the answer. For a business competing on personal service or bespoke products, a labour-intensive approach may be what customers are paying for.

# KO 5 3.4.3 | Lean Production & Just in Time

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## LEAN PRODUCTION

An approach that aims to cut waste of all kinds - materials, time, space, effort and inventory - while maintaining quality.

Staff are often involved in finding improvements.

## JUST IN TIME (JIT)

Materials arrive just as they are needed and products are made to order, so little inventory is held.

**Benefits** - less cash tied up in inventory, less storage space, less waste and damage, problems are spotted quickly.

**Difficulties** - relies on very reliable suppliers, no buffer if demand rises suddenly, frequent deliveries cost more, any disruption can stop production.

## JUST IN CASE

Holding buffer inventory in case of rising demand or supply problems.

**Benefits** - can meet sudden orders, protected against supply disruption, may get bulk-buying discounts.

**Drawbacks** - cash tied up, storage costs, risk of waste, damage or items going out of date.

## WHICH TO CHOOSE?

JIT suits stable demand, reliable local suppliers and products that are costly to store.

Just in case suits unpredictable demand, long or unreliable supply chains, and situations where running out would be very costly.

Many businesses use a mixture for different materials.

## EXAM TRAP

JIT does not mean holding no inventory at all and never running out. It reduces inventory, which increases the risk of running out if supply is disrupted.

## ANALYSIS CHAIN

JIT introduced → less inventory held → less cash tied up and lower storage costs → better cash flow, but a supplier delay can stop production.

## TOP GRADE CONNECTION

Supply chain shocks have shown the risk of very lean systems. Judge JIT by how reliable the supply chain is and how costly a stoppage would be for the business.

# KO 6 3.4.4 | Quality

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## QUALITY CONTROL AND QUALITY ASSURANCE

**Quality control** - checking products at the end (or at stages) of production to find and remove faults. Catches faults but does not stop them happening, and waste is created.

**Quality assurance** - building quality into every stage so that faults are prevented, with staff responsible for their own work. Less waste, but needs training and a culture where staff take responsibility.

## METHODS OF IMPROVING QUALITY

Training staff and giving them responsibility for quality.

Better materials and more reliable suppliers.

Better equipment and technology.

Setting clear standards and measuring performance against them.

## BENEFITS AND DIFFICULTIES

**Benefits** - fewer complaints and returns, less waste, stronger reputation, customer loyalty, ability to charge higher prices.

**Difficulties** - training and equipment cost money, results take time, staff may resist extra checks or responsibility.

## CONSEQUENCES OF POOR QUALITY

Waste and the cost of reworking or scrapping products.

Returns, refunds and possible legal claims.

Damage to reputation, lost customers and lower sales.

In serious cases, product recalls and fines.

## EXAM TRAP

Quality does not mean luxury. It means meeting customers' expectations consistently - a budget product can be high quality for its price.

## ANALYSIS CHAIN

Move from quality control to quality assurance → faults prevented rather than found → less waste and rework → lower unit costs and fewer complaints → stronger reputation.

## TOP GRADE CONNECTION

Improving quality costs money now and pays back later. Judge whether customers in this market will reward higher quality with loyalty or higher prices.

# KO 7 3.4.5 | Matching Supply to Demand

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## WHY IT MATTERS

If supply is below demand, sales are lost and customers may go to rivals.

If supply is above demand, the business is left with unsold inventory or spare capacity and higher unit costs.

Demand is often uneven - seasonal, daily or unpredictable - so firms need ways to adjust.

## OUTSOURCING

Using another business to carry out an activity or make part of the output.

Lets the business meet peaks in demand without investing in extra capacity.

Less control over quality and delivery, and the supplier takes a profit margin.

## TEMPORARY AND PART-TIME STAFF

Taken on to cover busy periods or particular hours, e.g. Christmas retail staff.

Keeps labour costs flexible, but temporary staff may be less trained or committed, which can affect service and quality.

## PRODUCING TO ORDER

Products are made only once an order is received.

No unsold inventory and products can be tailored to customers, but customers must wait and output can be uneven.

Other options: building up inventory in quiet periods, and using price and promotion to shift demand to quieter times.

## EXAM TRAP

Matching supply to demand is about flexibility, not simply producing more. Over-supply is as costly as under-supply.

## ANALYSIS CHAIN

Seasonal peak covered with temporary staff → output matches demand without permanent extra costs → sales captured and unit costs controlled → but service may slip if temps are poorly trained.

## TOP GRADE CONNECTION

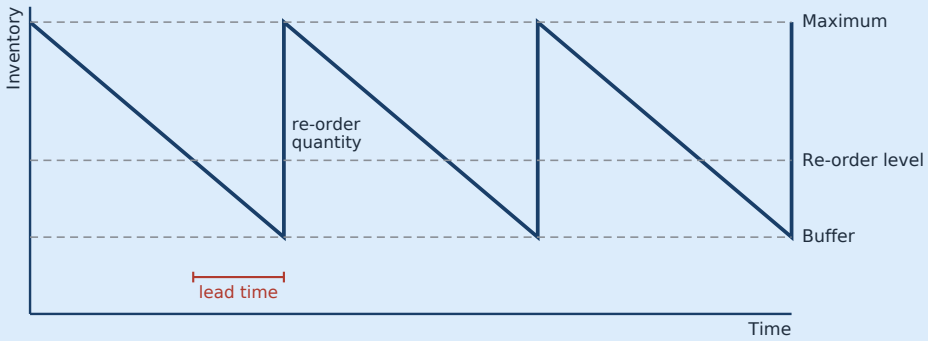
The best method depends on the product and the pattern of demand. Producing to order works for bespoke furniture, not for fresh bread on a Saturday morning.

# KO 8 3.4.5 | Inventory Control

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT**

## INVENTORY CONTROL CHART

Shows inventory falling as it is used and rising when a delivery arrives.




## KEY TERMS

**Lead time** - the time between placing an order and the delivery arriving.

**Re-order level** - the inventory level at which a new order is placed.

**Buffer inventory** - the minimum level kept in case of delays or extra demand.

**Re-order quantity** - the amount ordered each time.

**Maximum level** - buffer inventory + re-order quantity.

## READING THE CHART

The steeper the line falls, the faster inventory is being used.

Re-order level = buffer inventory + (usage per period × lead time).

If a delivery is late or usage rises, inventory falls into the buffer.

## INFLUENCES ON THE AMOUNT HELD

Reliability and lead time of suppliers.

How predictable demand is.

Cost of storage and of cash tied up.

Whether the item is perishable or quickly goes out of date.

Bulk-buying discounts and the cost of running out.

## EXAM TRAP

Buffer inventory is not the re-order level. The re-order level is above the buffer so that the delivery arrives before the buffer is used.

## ANALYSIS CHAIN

Supplier lead time increases → re-order level must rise → more inventory held on average → more cash tied up and higher storage costs.

## TOP GRADE CONNECTION

Holding less inventory improves cash flow but increases the risk of running out. Judge the right level from the cost of a stock-out compared with the cost of holding inventory.

# KO 9 3.4.5 | Suppliers & Supply Chains

AQA A-LEVEL BUSINESS 7132 - UNIT 3.4 OPERATIONAL MANAGEMENT

## CHOOSING SUPPLIERS

Price and payment terms.

Quality and reliability of delivery.

Capacity and flexibility to meet changes in orders.

Location and lead time.

Ethical and environmental standards.

## MANAGING THE SUPPLY CHAIN

The supply chain is every stage from raw materials to the final customer.

Managing it well means good communication with suppliers, sharing information on demand, monitoring performance and building long-term relationships.

Technology helps: online ordering, real-time inventory tracking and data shared with suppliers.

## VALUE OF GOOD SUPPLY CHAIN MANAGEMENT

Lower costs and less inventory.

Faster, more reliable delivery to customers.

Better quality and fewer disruptions.

Can be a source of competitive advantage that rivals find hard to copy.

## THE VALUE OF OUTSOURCING

**For** - access to specialist skills, lower costs, more flexible capacity, the business can focus on what it does best.

**Against** - loss of control over quality and timing, dependence on another business, possible damage to reputation if the supplier behaves unethically.

## EXAM TRAP

The cheapest supplier is not automatically the best. Unreliable delivery or poor quality can cost far more than the saving on price.

## ANALYSIS CHAIN

Long-term partnership with a key supplier → shared demand forecasts → supplier plans capacity in advance → fewer delays → better delivery to customers and less buffer inventory needed.

## TOP GRADE CONNECTION

Ethical and environmental standards in the supply chain increasingly affect reputation. A low-cost supplier with poor working conditions can become a serious risk for the brand.

# KO 1 3.5.1 | Financial Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## TYPES OF FINANCIAL OBJECTIVE

**Revenue objectives** - e.g. increase revenue by 10% in two years.

**Cost objectives** - e.g. cut operating costs by £200,000.

**Profit objectives** - e.g. achieve an operating profit margin of 12%.

**Cash flow objectives** - e.g. keep a minimum closing cash balance each month.

**Return on investment** - e.g. every new project must return at least 15%.

## RETURN ON INVESTMENT

Return on investment (%) = profit from investment ÷ cost of investment × 100

**Example** - a £200,000 investment generates £30,000 profit. ROI = £30,000 ÷ £200,000 × 100 = 15%.

ROI allows projects of different sizes to be compared.

## THE VALUE OF FINANCIAL OBJECTIVES

Give a clear target for managers and a way to measure performance.

Help control spending and decide which investments go ahead.

Reassure shareholders and lenders that finances are being managed.

They should support the corporate objectives.

## INFLUENCES

Corporate objectives and the business's stage of development - a start-up may focus on cash flow, an established plc on profit and returns to shareholders.

Market conditions and competition.

The economy, e.g. interest rates.

Ethical and environmental influences, and pressure from shareholders.

## EXAM TRAP

ROI uses profit from the investment, not the total revenue it brings in. Express it as a %.

## ANALYSIS CHAIN

Minimum ROI target of 15% → projects below the target are rejected → money goes to the most profitable uses → overall profitability improves.

## TOP GRADE CONNECTION

A strict financial target can cause short-termism, e.g. cutting training to hit a profit objective this year. Judge whether the objective fits the business's longer-term strategy.

# KO 2 3.5.1 | Cash Flow v Profit & the Three Measures of Profit

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## CASH FLOW V PROFIT

**Profit** - revenue minus costs over a period, whether or not the cash has been received or paid.

**Cash flow** - the money actually coming into and going out of the business.

A business can be profitable but short of cash, e.g. if customers pay on 90 days' credit, inventory is building up, or it has just bought equipment.

A business can also have strong cash flow but make a loss, e.g. after taking out a loan or selling assets.

## THE THREE MEASURES OF PROFIT

Gross profit = revenue - cost of sales

Operating profit = gross profit - operating expenses

Profit for the year = operating profit + profit from other activities - net finance costs - tax

## WORKED EXAMPLE

Revenue £500,000. Cost of sales £300,000. Operating expenses £120,000. Net finance costs £10,000. Tax £14,000.

Gross profit = £500,000 - £300,000 = £200,000

Operating profit = £200,000 - £120,000 = £80,000

Profit for the year = £80,000 - £10,000 - £14,000 = £56,000

## WHAT EACH ONE TELLS YOU

**Gross profit** - how well the business buys or makes its products compared with what it sells them for.

**Operating profit** - how well the business is run day to day, after overheads.

**Profit for the year** - what is left for shareholders, after interest and tax.

## EXAM TRAP

Cash flow and profit are different. Never write that a profitable business cannot have cash flow problems - timing of payments is the key.

## ANALYSIS CHAIN

Large order sold on 90 days' credit → profit is recorded now → cash arrives in three months → bills must still be paid → business may need an overdraft despite being profitable.

## TOP GRADE CONNECTION

Survival depends on cash; long-term success depends on profit. Judge which matters more for the business in the case - usually cash for a fast-growing or young business.

# KO 3 3.5.2 | Budgets & Variances

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## BUDGETS

A budget is a financial plan for the future, setting targets for revenue (income budget) and costs (expenditure budget) over a period.

Constructing a budget: use past figures, market research and objectives to forecast income and spending, then agree targets with managers.

## VARIANCES

Variance = budgeted figure - actual figure

**Favourable** - the result is better for profit than planned: revenue higher or costs lower than budget.

**Adverse** - the result is worse for profit than planned: revenue lower or costs higher than budget.

## WORKED EXAMPLE

Budgeted revenue £50,000, actual £46,000. Variance = £4,000 adverse.

Budgeted costs £30,000, actual £27,000. Variance = £3,000 favourable.

Overall profit variance = £1,000 adverse (budgeted profit £20,000, actual £19,000).

## THE VALUE OF BUDGETING

**Benefits** - planning, coordination between departments, control of spending, motivation if managers are involved, a benchmark to measure performance against.

**Difficulties** - forecasts may be wrong, setting budgets takes time, managers may spend up to the budget to avoid a cut, and budgets can be too rigid when conditions change.

Variances only show that something is different. Managers must find out why.

## EXAM TRAP

Decide favourable or adverse by the effect on profit, not by whether the number is positive or negative. Higher costs than budget is adverse even though the cost figure went up.

## ANALYSIS CHAIN

Adverse cost variance on materials → investigation shows supplier price rise → switch supplier or adjust prices → costs brought back towards budget.

## TOP GRADE CONNECTION

A favourable variance is not always good news. Lower spending than budget could mean training or maintenance was cut, storing up problems for later.

# KO 4 3.5.2 | Cash Flow Forecasts

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## STRUCTURE OF A FORECAST

**Cash inflows** - cash sales, payments from credit customers, loans, capital introduced.

**Cash outflows** - payments to suppliers, wages, rent, loan repayments, equipment.

Net cash flow = cash inflows - cash outflows

Closing balance = opening balance + net cash flow. The closing balance becomes the next month's opening balance.

## WORKED EXAMPLE

Opening balance £5,000. Inflows £20,000. Outflows £27,000.

Net cash flow = £20,000 - £27,000 = -£7,000

Closing balance = £5,000 + (-£7,000) = -£2,000

The business needs an overdraft or other finance for this month.

## PAYABLES AND RECEIVABLES

**Receivables** - money owed to the business by customers who bought on credit.

**Payables** - money the business owes to its suppliers.

Giving customers longer to pay delays inflows; getting longer to pay suppliers delays outflows.

## VALUE AND LIMITATIONS

**Value** - shows when shortages may happen so finance can be arranged in advance; supports loan applications; helps plan the timing of spending.

**Limitations** - based on forecasts of sales and costs that may be wrong, especially for a new business or in a changing market.

## EXAM TRAP

A negative closing balance is not a loss. It means the business will be short of cash at that point and needs to arrange finance.

## ANALYSIS CHAIN

Customers given 60 days' credit instead of 30 → receivables rise → cash inflows delayed by a month → closing balance falls → higher overdraft and interest costs.

## TOP GRADE CONNECTION

A forecast is only as good as its assumptions. Look at what drives the shortage: if it is one seasonal month, an overdraft may be fine; if it is every month, the business has a deeper problem.

# KO 5 3.5.2 | Break-even

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT**

## CONTRIBUTION

Contribution per unit = selling price - variable cost per unit

Total contribution = contribution per unit × units sold, or total revenue - total variable costs

Contribution goes first towards paying fixed costs. Once they are covered, contribution becomes profit.

## BREAK-EVEN AND MARGIN OF SAFETY

Break-even output = fixed costs ÷ contribution per unit

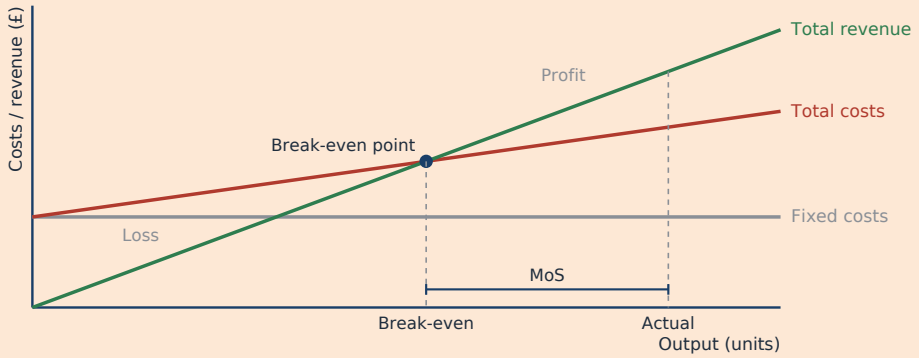
Margin of safety = actual output - break-even output

**Example** - price £25, variable cost £10, fixed costs £45,000, sales 4,200 units.

Contribution = £15. Break-even = £45,000 ÷ £15 = 3,000 units. Margin of safety = 1,200 units. Profit = 1,200 × £15 = £18,000.

## BREAK-EVEN CHART

Break-even is where total revenue meets total costs.




## READING THE CHART

Fixed costs: horizontal line. Total costs start at the fixed cost line. Total revenue starts at zero.

Left of break-even is the loss area; right of it is the profit area.

The vertical gap between total revenue and total costs at any output shows the profit or loss.

Margin of safety is read along the output axis, from break-even to actual output.

## EXAM TRAP

Margin of safety is measured in units, not £. And it is not the same as profit - profit = margin of safety × contribution per unit.

## ANALYSIS CHAIN

Higher contribution per unit → fewer units needed to cover fixed costs → lower break-even output → bigger margin of safety → less risk if sales fall.

## TOP GRADE CONNECTION

A large margin of safety gives protection, but how much is enough depends on how volatile sales are. A 10% margin is risky in a fashion market, less so for a utility.

# KO 6 3.5.2 | Break-even: Changes & Value

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## CHANGE IN PRICE

A higher price makes the total revenue line steeper. Contribution per unit rises, so break-even output falls.

But sales may fall if demand is price elastic, so the margin of safety may not improve.

## CHANGE IN COSTS

Higher fixed costs shift the total costs line up in parallel. Break-even output rises.

Higher variable cost per unit makes the total costs line steeper. Contribution falls, so break-even output rises.

Lower costs have the opposite effect.

## CHANGE IN OUTPUT

A change in actual output does not change break-even output, but it changes the margin of safety and the profit or loss.

**Example** - using the previous page, if sales fall from 4,200 to 3,500 units the margin of safety falls to 500 units and profit to £7,500.

## VALUE OF BREAK-EVEN ANALYSIS

**Uses** - shows how much must be sold to avoid a loss, tests 'what if' changes, supports loan applications and pricing decisions.

**Limitations** - assumes all output is sold at one price, costs and revenue are straight lines, and fixed costs stay fixed. Relies on accurate estimates; ignores qualitative factors.

## EXAM TRAP

A change in output moves the business along the chart - it does not shift any line. Only changes in price or costs move the lines and change break-even output.

## ANALYSIS CHAIN

Rent increase → fixed costs rise → total costs line shifts up → break-even output rises → margin of safety shrinks → business is more exposed to a fall in sales.

## TOP GRADE CONNECTION

Break-even is most useful for quick 'what if' tests. It is less reliable for a multi-product business or where prices vary, so judge how far its assumptions hold in the case.

# KO 7 3.5.2 | Profitability

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## PROFIT MARGINS

Gross profit margin (%) = gross profit ÷ revenue × 100

Operating profit margin (%) = operating profit ÷ revenue × 100

Profit for the year margin (%) = profit for the year ÷ revenue × 100

## WORKED EXAMPLE

Using revenue £500,000, gross profit £200,000, operating profit £80,000, profit for the year £56,000:

Gross profit margin = 40%

Operating profit margin = 16%

Profit for the year margin = 11.2%

## ANALYSING MARGINS

Falling gross margin - cost of sales rising faster than revenue, or prices cut.

Gross margin steady but operating margin falling - overheads (operating expenses) growing.

Compare with previous years and with competitors in the same industry.

## USING DATA FOR FINANCIAL DECISIONS

Margins show where profit is being lost and where to act - pricing, suppliers or overheads.

Financial data helps decide on investment, pricing, cost-cutting and sources of finance.

Data must be read alongside non-financial factors, such as quality and staff morale.

## EXAM TRAP

Operating profit is a £ figure; operating profit margin is a %. Answer with the measure the question asks for - many students mix these up.

## ANALYSIS CHAIN

Supplier prices rise → cost of sales rises → gross profit margin falls → operating margin falls too unless overheads are cut → less profit for each £1 of sales.

## TOP GRADE CONNECTION

Profit can rise while the margin falls, if revenue grows faster than profit. Judge performance using both the £ figure and the margin, compared over time and with rivals.

# KO 8 3.5.3 | Sources of Finance

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## INTERNAL SOURCES

**Retained profits** - profit kept in the business rather than paid as dividends. No interest and no loss of control, but only available if the business is profitable, and reduces dividends.

## SHORT-TERM EXTERNAL SOURCES

**Overdraft** - flexible borrowing up to a limit on a bank account. Good for short-term cash gaps; high interest and can be withdrawn.

**Debt factoring** - selling receivables to a factoring company for an immediate payment (often around 80%), with the rest paid when customers pay, less a fee. Speeds up cash but reduces the amount received.

## LONG-TERM EXTERNAL SOURCES

**Loans** - a fixed sum repaid with interest over an agreed period. Keeps control but adds repayments and interest; usually needs security.

**Share capital** - selling shares. No repayment or interest, but dilutes control and shareholders expect dividends. Only for companies.

**Venture capital** - investment from specialist investors in growing businesses, usually for a share of ownership. Brings expertise as well as money but gives up control.

**Crowdfunding** - many people each provide a small amount, usually online, in return for rewards or shares. Also tests demand, but ideas are exposed and campaigns may fail.

## CHOOSING A SOURCE

Match the term of the finance to the use: short-term needs (cash gaps) with short-term finance; long-term assets with long-term finance.

Other influences: amount needed, cost, the legal form of the business, existing gearing, and how much control the owners will give up.

## EXAM TRAP

Debt factoring does not create new money - it speeds up cash the business is already owed, in return for a fee. Make sure you know how it works.

## ANALYSIS CHAIN

Business takes a long-term loan for new machinery → keeps control → but interest and repayments rise → gearing increases → more risk if interest rates or sales change.

## TOP GRADE CONNECTION

There is no best source. A highly geared firm may need share capital even though it dilutes control; a profitable family firm may prefer retained profit to keep ownership.

# KO 9 3.5.4 | Improving Cash Flow

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

## SPEEDING UP INFLOWS

Chase customers who are late paying and give shorter credit periods.

Offer discounts for early payment.

Use debt factoring.

Sell assets that are not needed.

## DELAYING OR REDUCING OUTFLOWS

Negotiate longer credit periods with suppliers.

Hold less inventory, e.g. through just in time.

Lease equipment rather than buy it.

Cut or delay spending that is not essential.

## SHORT-TERM FINANCE

An overdraft can cover a temporary gap between inflows and outflows.

It solves the timing problem but adds interest costs and does not fix the underlying cause.

## DIFFICULTIES

Shorter credit for customers may lose sales to rivals who offer longer terms.

Paying suppliers later can damage relationships and lead to worse terms or supply problems.

Factoring and discounts reduce the amount received.

Lower inventory increases the risk of running out.

## EXAM TRAP

Improving cash flow is not the same as improving profit. Debt factoring improves cash flow but reduces profit because of the fee.

## ANALYSIS CHAIN

Customers offered 2% discount for paying within 10 days → receivables collected faster → cash inflows earlier → less overdraft needed → lower interest costs.

## TOP GRADE CONNECTION

Choose the method that fixes the cause. If cash problems come from slow-paying customers, credit control helps; if they come from low margins, only improving profit will solve it.

# KO 10  3.5.4 | Improving Profit & Profitability

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT**

## PROFIT AND PROFITABILITY

**Profit** - the £ amount left after costs.

**Profitability** - profit compared with revenue (profit margins) or with the capital used.

A business can increase profit without improving profitability, and the other way round.

## INCREASING REVENUE

Raise prices - works best when demand is price inelastic.

Increase sales volume through promotion, new markets or new products.

Change the product mix towards higher-margin products.

## CUTTING COSTS

Cheaper suppliers or bulk buying.

Improving efficiency and labour productivity.

Reducing waste, e.g. lean production.

Cutting overheads such as moving to cheaper premises.

## DIFFICULTIES

Price rises may reduce sales if demand is price elastic.

Cheaper materials can reduce quality and damage reputation.

Job cuts can lower morale and productivity.

Promotion and new products cost money before they bring in revenue.

## EXAM TRAP

Don't assume a price rise always increases profit. It depends on price elasticity and on whether costs change.

## ANALYSIS CHAIN

Switch to a cheaper supplier → cost of sales falls → gross profit margin rises → but if quality falls, returns and complaints rise → some of the gain is lost.

## TOP GRADE CONNECTION

Judge methods by whether the improvement will last. Short-term cost cuts that damage quality or morale can reduce profitability in the long run.

# KO 1 3.6.1 | HR Objectives & Approaches

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT**

## WHAT AQA LISTS

**Employee engagement** - how committed staff are to the business and its goals.

**Talent development** - identifying and developing staff with high potential.

**Training** - giving staff the skills the business needs.

**Diversity** - a workforce that reflects the wider population and customers.

**Alignment of values** - staff sharing the values of the business.

**Number, skills and location of employees** - having the right people in the right places.

## THE VALUE OF HR OBJECTIVES

Give HR managers clear targets and a way of measuring progress.

Make sure the workforce supports the corporate strategy, e.g. expansion abroad needs staff in new locations.

Help coordinate HR with marketing, operations and finance.

## SOFT AND HARD HRM

**Soft HRM** - staff are treated as a valuable resource to be developed. Long-term focus, training, involvement, engagement and good communication.

**Hard HRM** - staff are treated as a cost to be controlled. Short-term focus, staff numbers matched closely to needs, little involvement, often more centralised.

## INFLUENCES ON HR OBJECTIVES

Corporate objectives and the financial position of the business.

The labour market - skills shortages, wage levels.

Technology changing the skills needed and ways of working, e.g. remote working.

Laws, ethics and the culture of the business.

## EXAM TRAP

Soft HRM is not 'being nice' and hard HRM is not 'being harsh'. They are different ways of seeing staff - as an asset to develop or a cost to manage.

## ANALYSIS CHAIN

Soft HRM approach → investment in training and involvement → higher engagement → better productivity and lower labour turnover → recruitment costs fall.

## TOP GRADE CONNECTION

The right approach depends on the business. A firm competing on expert service gains from soft HRM; a business facing a financial crisis may need elements of hard HRM in the short term.

# KO 2 3.6.2 | HR Data

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

## CALCULATIONS

Labour turnover (%) = number of staff leaving ÷ number of staff employed × 100

Labour productivity = output over a time period ÷ number of employees

Employee costs as a percentage of turnover = employee costs ÷ turnover × 100

Labour cost per unit = labour costs ÷ units of output

## WORKED EXAMPLE

A firm employs 80 staff on average; 12 leave in the year. Output is 90,000 units. Employee costs are £360,000 and turnover (revenue) is £1.2m.

Labour turnover = 12 ÷ 80 × 100 = 15%

Labour productivity = 90,000 ÷ 80 = 1,125 units per employee

Employee costs as % of turnover = £360,000 ÷ £1.2m × 100 = 30%

Labour cost per unit = £360,000 ÷ 90,000 = £4

## INTERPRETING THE DATA

**High labour turnover** - higher recruitment and training costs and loss of skills, but can bring in new ideas.

**Rising productivity** - lower labour cost per unit, more competitive.

**Employee costs as % of turnover** - naturally higher in labour-intensive businesses; compare with similar firms.

## USING DATA FOR HR DECISIONS

HR data helps plan recruitment and training, judge the effect of changes such as new pay schemes, and spot problems early.

Compare over time and with competitors, and look for the reasons behind the figures.

## EXAM TRAP

Turnover can mean two things. Labour turnover is staff leaving; 'turnover' in employee costs as a % of turnover means revenue. Read the question carefully.

## ANALYSIS CHAIN

Labour turnover rises → more spent on recruiting and training → new staff less productive at first → labour cost per unit rises → margins fall.

## TOP GRADE CONNECTION

Some labour turnover is healthy. Judge whether the level is a problem by comparing it with the industry - 15% may be low in hospitality but high in a law firm.

# KO 3 3.6.3 | Organisational Structures

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

## FUNCTIONAL

Organised by department - marketing, operations, finance, HR.

**For** - specialists work together, clear lines of responsibility.

**Against** - departments can work in isolation and poor communication between them can slow decisions.

## PRODUCT-BASED

Organised around products or product ranges, each with its own functions.

**For** - focus on the needs of each product's market; clear accountability for each product's performance.

**Against** - duplication of functions, rivalry between divisions.

## REGIONAL

Organised by geographical area, e.g. Europe, Asia, North America.

**For** - can respond to local customers, laws and cultures.

**Against** - duplication and higher costs; regions may pull in different directions.

## MATRIX

Staff report to two managers - usually a functional manager and a project or product manager.

**For** - brings together expertise from different functions for projects; flexible.

**Against** - confusion over who to report to, possible conflict between managers, more complex to run.

## EXAM TRAP

Don't just describe the structure. Explain how it affects communication, speed of decision making or costs in the business in the case.

## ANALYSIS CHAIN

Move to a regional structure → regional managers closer to local customers → products and marketing adapted to local needs → sales rise, but costs rise from duplicated functions.

## TOP GRADE CONNECTION

The best structure depends on the strategy. A business expanding into many countries may need a regional structure; one running many projects may suit a matrix.

# KO 4 3.6.3 | Organisational Design

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

## AUTHORITY, HIERARCHY AND SPAN

**Authority** - the right to make decisions and give instructions.

**Hierarchy** - the levels of management. A tall structure has many levels; a flat structure has few.

**Span of control** - the number of people a manager directly supervises. Wide spans go with flat structures; narrow spans with tall ones.

## DELEGATION

Passing authority to make decisions to someone lower in the hierarchy. Responsibility for the outcome stays with the manager.

Frees managers' time, develops staff and can motivate them.

Needs trained, trusted staff and clear limits.

## CENTRALISATION AND DECENTRALISATION

**Centralised** - decisions made at the top. Consistent, tight control, can be quick for major decisions; but slow to respond locally and can demotivate staff.

**Decentralised** - decisions made lower down or in local units. Faster local responses and motivated managers; but less consistency and control.

## INFLUENCES AND THE VALUE OF CHANGING DESIGN

Influences: size of the business, its strategy, the skills of staff, leadership style, culture and technology.

Changing design can cut costs, speed up decisions and improve communication - but can also cause uncertainty, low morale and short-term disruption.

## EXAM TRAP

A wide span of control is not always better. It works when staff are skilled and tasks are similar; with inexperienced staff, managers become overloaded.

## ANALYSIS CHAIN

Decentralise decisions to store managers → quicker responses to local customers → better service and sales → but less consistency across stores.

## TOP GRADE CONNECTION

Judge design changes by whether they help the strategy. Decentralisation suits a business serving varied local markets; centralisation suits one where consistency and cost control matter most.

# KO 5 3.6.3 | Human Resource Flow

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

## HUMAN RESOURCE PLAN

Compares the workforce the business will need (numbers, skills, locations) with the workforce it has, and plans how to close the gap.

Based on corporate objectives, sales forecasts, labour turnover and changes in technology.

## RECRUITMENT AND TRAINING

**Recruitment** - internal (promoting existing staff: cheaper, motivating, known people) or external (wider choice and new ideas, but costlier and riskier).

**Training** - induction for new staff, on-the-job and off-the-job training. Improves skills and productivity, but costs money and trained staff may leave.

## REDEPLOYMENT AND REDUNDANCY

**Redeployment** - moving staff to different roles or locations within the business. Keeps skills and avoids redundancy costs.

**Redundancy** - when a job is no longer needed. Cuts costs in the long run, but means redundancy payments, lost skills and lower morale among remaining staff.

## HOW THE HR FLOW MEETS HR OBJECTIVES

Planning, recruiting, training, redeploying and making redundancies together make sure the business has the right number of staff, with the right skills, in the right places.

Well-managed flow supports engagement and talent development; badly managed flow causes skills gaps or surplus staff.

## EXAM TRAP

Redeployment is moving a person to a different job within the business. It is not redundancy and not delegation.

## ANALYSIS CHAIN

HR plan identifies digital skills gap → existing staff trained and redeployed → skills gap closed without redundancies → morale and loyalty maintained.

## TOP GRADE CONNECTION

The HR plan is only as good as the forecasts behind it. In a fast-changing market, flexible approaches such as redeployment and training may be safer than large recruitment drives.

# KO 6 3.6.4 | Motivation Theory

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT**

## WHY MOTIVATION AND ENGAGEMENT MATTER

Motivated and engaged staff tend to be more productive, produce better quality, give better service and are less likely to be absent or leave.

This lowers costs and can improve customer satisfaction and reputation.

## TAYLOR - SCIENTIFIC MANAGEMENT

Workers are motivated mainly by money.

Managers should study tasks, find the most efficient way of doing each one, train workers to do it and pay by output (piece rate).

Raised productivity in repetitive work, but ignores social and personal needs and can lead to boring, demotivating jobs.

## MASLOW - HIERARCHY OF NEEDS

Needs in order: physiological → safety → love and belonging (social) → esteem → self-actualisation.

A need motivates until it is satisfied; then the next level up becomes the motivator. Lower needs must be met first.

Hard to measure where an individual is, and people may not move through the levels in order.

## HERZBERG - TWO-FACTOR THEORY

**Hygiene factors** - pay, working conditions, company policy, supervision, job security. If poor they cause dissatisfaction, but improving them does not motivate.

**Motivators** - achievement, recognition, the work itself, responsibility, advancement. These motivate.

Suggests job enrichment rather than pay rises to motivate.

## EXAM TRAP

For Herzberg, pay is a hygiene factor - it prevents dissatisfaction but does not motivate. For Maslow, explain the hierarchy (lower needs first), not just the five levels.

## ANALYSIS CHAIN

Job enriched with more responsibility (a Herzberg motivator) → staff feel recognised and challenged → greater effort and commitment → higher productivity and lower labour turnover.

## TOP GRADE CONNECTION

Use the theory that fits the case and the workforce. Taylor's ideas may still suit simple, repetitive tasks; Herzberg is more useful where quality and initiative matter.

# KO 7 3.6.4 | Financial Methods of Motivation

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

## PIECE RATE AND COMMISSION

**Piece rate** - pay for each unit produced. Encourages output; quality may suffer and income is uncertain for staff.

**Commission** - pay as a % of the value of sales made. Encourages selling effort; can lead to pushy selling and staff competing rather than cooperating.

## SALARY SCHEMES

A fixed annual amount paid monthly, not linked to hours or output.

Security for staff and simple to run, but gives no direct reward for extra effort.

## PERFORMANCE-RELATED PAY (PRP)

Extra pay or a bonus based on an assessment of an individual's performance against targets, usually at an appraisal.

Can reward contributions that are hard to count, but appraisals may be seen as unfair and targets can encourage short-term behaviour.

## INFLUENCES ON CHOICE AND EFFECTIVENESS

Whether output can be measured for each person.

The importance of quality and teamwork.

Cost and the financial position of the business.

What motivates the workforce - Taylor suggests money; Herzberg suggests pay only prevents dissatisfaction.

## EXAM TRAP

Performance-related pay is not piece rate. PRP is based on an appraisal of overall performance; piece rate pays per unit produced.

## ANALYSIS CHAIN

Sales staff paid commission → more effort to close sales → revenue rises → but customers may feel pressured → repeat business and reputation could suffer.

## TOP GRADE CONNECTION

Judge financial methods by what they encourage. A method that rewards quantity can damage quality or teamwork, so it suits some jobs far better than others.

# KO 8 3.6.4 | Non-financial Methods of Motivation

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

## EMPOWERMENT AND TEAM WORKING

**Empowerment** - giving staff authority to make decisions about their own work. Uses their knowledge and builds commitment, but needs training and trust.

**Team working** - staff working in groups with shared goals. Meets social needs and brings ideas together, but some members may do less.

## FLEXIBLE WORKING

Choice over when or where staff work, e.g. flexitime, part-time hours, remote working.

Helps staff balance work and home life and can widen recruitment, but is harder to coordinate and supervise.

## JOB ENRICHMENT AND JOB ROTATION

**Job enrichment** - giving staff more challenging, responsible work, e.g. a complete task and the authority to plan it. Links to Herzberg's motivators.

**Job rotation** - moving staff between tasks at the same level. Adds variety and creates a more flexible workforce, but does not add responsibility.

## INFLUENCES ON CHOICE AND EFFECTIVENESS

Skills and attitudes of staff - not everyone wants more responsibility.

The nature of the work and the technology used.

Leadership style and culture.

The cost of training and reorganising work.

## EXAM TRAP

Job rotation is not job enrichment. Rotation changes the task at the same level; enrichment adds responsibility and challenge.

## ANALYSIS CHAIN

Staff empowered to resolve customer complaints → quicker solutions → customers more satisfied → staff feel trusted → higher engagement and lower turnover.

## TOP GRADE CONNECTION

Non-financial methods are often cheaper and longer-lasting, but they only work if the workforce wants them and managers are prepared to give up some control.

# KO 9 3.6.5 | Employer-Employee Relations

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT**

## EMPLOYEE INVOLVEMENT IN DECISION MAKING

Ranges from simply being informed, to being consulted, to sharing in decisions.

Influences: leadership style, culture, size of the business, the law, the type of decision and the skills of staff.

## TRADE UNIONS AND WORKS COUNCILS

**Trade unions** - represent members in negotiations with employers over pay, conditions and jobs (collective bargaining). Can make communication easier, but may take industrial action.

**Works councils** - groups of employee and management representatives that meet to discuss issues affecting the workforce, e.g. changes to working practices.

## MANAGING COMMUNICATION AND RELATIONS

Regular, two-way communication: team meetings, briefings, intranet, suggestion schemes.

Consulting staff before major changes.

Clear procedures for grievances and disputes.

Barriers include too many layers of hierarchy, distance between sites and lack of trust.

## THE VALUE OF GOOD RELATIONS

Fewer disputes and less disruption.

Higher motivation and lower labour turnover.

Change accepted more easily.

Better ideas from staff and a stronger reputation as an employer.

### EXAM TRAP

Employee representation is not the same as delegation. Unions and works councils give staff a collective voice; delegation passes authority to an individual.

### ANALYSIS CHAIN

Works council consulted on new shift patterns → staff concerns addressed early → less resistance → change introduced smoothly → productivity maintained.

### TOP GRADE CONNECTION

Good relations take time to build and can be lost quickly. Judge how much involvement is right by the type of decision, the urgency and the level of trust that already exists.

# KO 1 3.7.1 | Mission, Objectives & Strategy

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

## MISSION AND ITS INFLUENCES

A mission sets out the purpose and values of the business.

Influences on the mission: the founders' and owners' values, the type of ownership, stakeholder expectations, the market the business operates in and its history and culture.

## MISSION → OBJECTIVES → STRATEGY

**Corporate objectives** - targets for the whole business that turn the mission into measurable goals.

**Strategy** - the long-term plan to achieve the corporate objectives.

**Functional objectives** - targets for marketing, operations, finance and HR that support the strategy.

## STRATEGY V TACTICS

**Strategy** - long-term, affects the whole business, made by senior managers, large resources, hard to reverse. E.g. entering a new country.

**Tactics** - short-term, made lower down, fewer resources, easier to reverse. E.g. a price promotion this month.

## STRATEGIC AND FUNCTIONAL DECISIONS

Strategic decisions set the direction for functional decisions. A low-cost strategy needs operations to cut unit costs, marketing to stress value and HR to keep labour costs down.

If functional decisions do not support the strategy, it is unlikely to succeed.

## EXAM TRAP

Strategy and tactics are not decided by size of spend alone. A strategy is long-term and changes the direction of the whole business; a tactic supports it in the short term.

## ANALYSIS CHAIN

Corporate objective of 20% growth → strategy of entering new markets → functional objectives for marketing (new segments) and HR (recruiting overseas staff) → coordinated action → growth achieved.

## TOP GRADE CONNECTION

Strong answers link the levels together. Judge a functional decision by whether it fits the strategy, not just whether it looks sensible on its own.

# KO 2 3.7.1 | Influences on Objectives & SWOT



## INTERNAL INFLUENCES

Finance available, staff skills, operational capacity, culture, leadership and the business's past performance.

The type of ownership - e.g. a family firm may value long-term control; a plc must satisfy shareholders.

## EXTERNAL INFLUENCES

The economy, competition, laws and regulation, technology, social trends, and pressure from stakeholders.

These affect both corporate objectives and functional objectives and decisions.

## SHORT-TERMISM

Pressure to deliver quick results, e.g. from shareholders wanting dividends and a rising share price, or managers paid bonuses on this year's profit.

Can lead to cutting investment, training or R&D to boost profit now, harming long-term competitiveness.

## SWOT ANALYSIS

Strengths and weaknesses are internal; opportunities and threats are external.




## EXAM TRAP

Opportunities and threats are external. A new product the business plans to launch is not an opportunity - the market demand it targets is.

## ANALYSIS CHAIN

Shareholder pressure for higher short-term profit → R&D budget cut → profit rises this year → fewer new products later → competitiveness falls in the long run.

## TOP GRADE CONNECTION

SWOT is a starting point, not a conclusion. Its value is in deciding which factors matter most and how strengths can be used to take opportunities or counter threats.

# KO 3 3.7.2 | Financial Statements & Ratios

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

## FINANCIAL STATEMENTS

**Income statement** - revenue, costs and profit over a period (usually a year).

**Balance sheet** (statement of financial position) - assets, liabilities and equity at one point in time.

Ratios use figures from both to assess performance.

## PROFITABILITY - ROCE

ROCE (%) = operating profit ÷ capital employed × 100

Capital employed = total equity + non-current liabilities

Shows the return generated from the long-term capital invested. Compare with the interest rate and with competitors.

## LIQUIDITY AND GEARING

Current ratio = current assets ÷ current liabilities (expressed as x:1)

Gearing (%) = non-current liabilities ÷ capital employed × 100

Low current ratio - may struggle to pay short-term debts. Very high - cash or inventory sitting idle.

High gearing (often said to be above 50%) - heavily reliant on borrowing, exposed to interest rate rises.

## WORKED EXAMPLE

Operating profit £2m. Total equity £8m. Non-current liabilities £2m. Current assets £600,000. Current liabilities £400,000.

Capital employed = £10m. ROCE = £2m ÷ £10m × 100 = 20%

Gearing = £2m ÷ £10m × 100 = 20%

Current ratio = £600,000 ÷ £400,000 = 1.5:1

## EXAM TRAP

Capital employed is total equity + non-current liabilities. Don't use total assets or just equity. ROCE uses operating profit, not profit for the year.

## ANALYSIS CHAIN

Business borrows to expand → non-current liabilities rise → gearing rises → interest payments increase → profit for the year more exposed to an interest rate rise.

## TOP GRADE CONNECTION

High gearing is not automatically bad. If ROCE is well above the interest rate, borrowing can increase returns to shareholders. Judge it against the stability of profits and cash flow.

# KO 4 3.7.2 | Efficiency Ratios & the Value of Ratios

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

## EFFICIENCY RATIOS

Payables days = payables ÷ cost of sales × 365

Receivables days = receivables ÷ revenue × 365

Inventory turnover = cost of sales ÷ average inventories held (number of times a year)

## WORKED EXAMPLE

Payables £90,000; cost of sales £1.2m; receivables £150,000; revenue £1.825m; average inventories £100,000.

Payables days = £90,000 ÷ £1.2m × 365 = 27.4 days

Receivables days = £150,000 ÷ £1.825m × 365 = 30 days

Inventory turnover = £1.2m ÷ £100,000 = 12 times a year

## INTERPRETING EFFICIENCY

**Receivables days** - lower usually means customers pay faster and cash flow is better.

**Payables days** - higher keeps cash in the business longer, but may strain suppliers.

**Inventory turnover** - higher means inventory sells quickly. What is normal depends on the industry: a supermarket turns over far faster than a car dealer.

## THE VALUE OF RATIOS

Compare over time to spot trends, and with other businesses to judge relative performance.

Limitations: based on past data; one balance sheet date may not be typical; businesses may use different accounting methods; ratios ignore non-financial factors and don't explain why figures changed.

## EXAM TRAP

Inventory turnover is a number of times, not days. Higher payables days is not always good - it may mean the business cannot afford to pay its suppliers.

## ANALYSIS CHAIN

Receivables days fall from 60 to 30 → customers pay a month earlier → cash inflows arrive sooner → less need for an overdraft → lower interest costs.

## TOP GRADE CONNECTION

One ratio rarely proves anything. Look at several together, over several years, against competitors, and think about what is happening in the case before judging.

# KO 5 3.7.3 | Overall Performance



## USING NON-FINANCIAL DATA

**Operations data** - capacity utilisation, unit costs, productivity, quality.

**HR data** - labour turnover, productivity, employee costs.

**Marketing data** - market share, sales growth, brand loyalty.

Analyse over time and against other businesses to identify strengths and weaknesses.

## CORE COMPETENCES

Capabilities that a business does particularly well and that set it apart, e.g. design skill, a supply network, technical know-how.

A core competence should be hard for competitors to copy, add real value for customers and be usable across different products or markets.

Strategy can be built around core competences.

## SHORT- AND LONG-TERM PERFORMANCE

Some decisions improve short-term figures at the expense of the long term, e.g. cutting R&D.

Long-term performance depends on investment, innovation, reputation and staff development, which may not show up in this year's figures.

## ELKINGTON'S TRIPLE BOTTOM LINE

Measures performance in three ways: **profit** (financial), **people** (social - staff, communities, suppliers) and **planet** (environmental).

Encourages a broader view of success, but social and environmental impacts are harder to measure and can conflict with profit.

## EXAM TRAP

Triple Bottom Line is Elkington's model: profit, people, planet. Don't reduce it to 'being green' - it is about measuring all three.

## ANALYSIS CHAIN

Core competence in design → products customers value → can charge premium prices → high margins → strong long-term performance if rivals can't copy it.

## TOP GRADE CONNECTION

Financial data shows what has happened; non-financial data often shows why, and what is likely to happen next. The strongest judgements use both.

# KO 6 3.7.4 | Political & Legal Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

## COMPETITION LAW

Aims to stop businesses restricting competition, e.g. price fixing, abusing a dominant position, or mergers that reduce competition.

Protects customers and smaller firms; limits how far large firms can grow by takeover.

## LABOUR MARKET AND ENVIRONMENTAL LAW

**Labour market laws** - e.g. minimum wage, employment rights, discrimination, health and safety. Raise some costs but can improve morale and reputation.

**Environmental laws** - e.g. limits on emissions and waste. Raise costs and may require new processes, but can also create opportunities.

## GOVERNMENT POLICY

**Enterprise** - support for start-ups and small firms, e.g. grants, advice, tax reliefs.

**Regulators** - bodies that oversee industries such as energy, water and telecoms, setting rules on prices and service.

**Infrastructure** - transport, broadband, energy networks.

**The environment** - targets, taxes and incentives.

**International trade** - trade agreements, tariffs and other rules on importing and exporting.

## IMPACT ON DECISION MAKING

Political and legal change affects both strategic decisions (which markets to enter, whether to merge) and functional decisions (pay rates, production methods, product design).

Businesses need to anticipate change, which can be hard when policy is uncertain.

## EXAM TRAP

A question about legislation is not a question about ethics. Something can be legal but unethical, and the law sets the minimum. Answer the question that is asked.

## ANALYSIS CHAIN

Minimum wage rises → labour costs increase → labour-intensive firms see margins fall → may raise prices, invest in automation or cut hours.

## TOP GRADE CONNECTION

The impact of a law depends on the business. A rise in the minimum wage hits a labour-intensive café far harder than a capital-intensive manufacturer paying above the minimum already.

# KO 7 3.7.5 | Economic Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

## GDP AND INFLATION

**GDP** - the value of output in an economy. Rising GDP usually means rising incomes and demand; falling GDP (recession) means the opposite. Products with high income elasticity are most affected.

**Inflation** - a rise in the general price level. Raises costs, reduces customers' real incomes and makes planning harder.

## EXCHANGE RATES

A stronger pound makes UK exports more expensive abroad and imports cheaper in the UK.

A weaker pound makes exports cheaper abroad and imports dearer.

The effect depends on whether the business mainly exports, imports materials or does both.

## FISCAL AND MONETARY POLICY

**Fiscal policy** - government spending and taxation, e.g. higher income tax reduces disposable income; higher corporation tax reduces profit for the year.

**Monetary policy** - interest rates set by the Bank of England. Higher rates increase borrowing costs and reduce consumer spending.

## OPEN TRADE V PROTECTIONISM

**Open trade** - fewer barriers, bigger markets and cheaper imported materials, but more foreign competition.

**Protectionism** - tariffs, quotas and other barriers. Shields some domestic firms but raises costs for those that import and can provoke retaliation.

Students should be able to interpret UK and global economic data.

## EXAM TRAP

Be precise with exchange rates. A stronger pound makes exports dearer and imports cheaper - work through the effect on the business's costs and on its prices to foreign customers.

## ANALYSIS CHAIN

Pound weakens → imported materials cost more in pounds → UK manufacturer's costs rise → but its exports become cheaper abroad → overseas sales may rise.

## TOP GRADE CONNECTION

Economic change affects businesses unevenly. Judge the impact using the case: what it sells, its income elasticity, how much it borrows, and how much it trades abroad.

# KO 8 3.7.6 | Social Change

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS**

## DEMOGRAPHIC CHANGE

Changes in the size and structure of the population, e.g. an ageing population, more single-person households.

Changes what customers buy and the labour available.

## POPULATION MOVEMENTS AND MIGRATION

Migration can increase the supply of labour and fill skills gaps.

It can also create demand for new products and services.

Changes in migration rules affect firms relying on overseas workers.

## LIFESTYLE AND BUYING BEHAVIOUR

E.g. healthier eating, interest in sustainability, demand for convenience, buying on mobile phones.

Businesses that adapt quickly can gain; those that don't may lose market share.

## GROWTH OF ONLINE BUSINESSES

Customers expect to buy online and have fast delivery.

Lower barriers to entry for new firms, more price comparison and competition.

Pressure on traditional retailers to adapt, e.g. click and collect, multi-channel.

### EXAM TRAP

Social change is about customers and society, not technology itself. Online shopping is both - explain the change in behaviour and how technology made it possible.

### ANALYSIS CHAIN

Ageing population → more retired customers with time and savings → demand for travel and leisure for over-60s rises → businesses adapt products and marketing.

### TOP GRADE CONNECTION

Social trends tend to be gradual and predictable, so the businesses that suffer are often those that ignored them. Judge how quickly the business in the case needs to respond.

# KO 9 3.7.6 | Corporate Social Responsibility

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS**

## WHAT CSR MEANS

Taking responsibility for the effects of the business on society and the environment, beyond what the law requires.

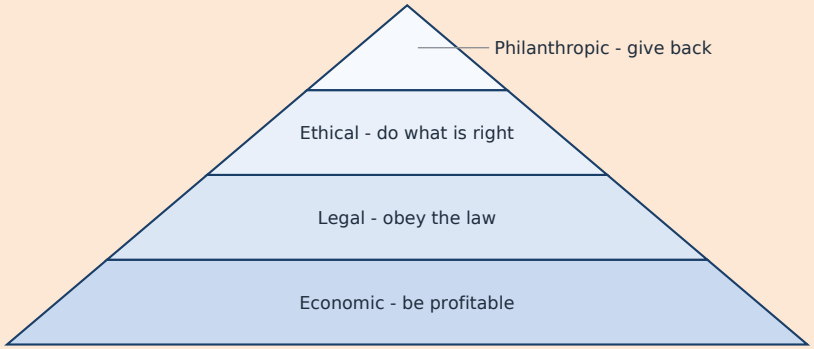
## STAKEHOLDER V SHAREHOLDER CONCEPT

**Shareholder concept** - the business's main duty is to maximise returns to its owners.

**Stakeholder concept** - the business should consider the interests of all stakeholders when making decisions.

## CARROLL'S CSR PYRAMID

Economic, legal, ethical and philanthropic responsibilities, from the base up.




## REASONS FOR AND AGAINST CSR

**For** - stronger reputation and brand, customer and staff loyalty, easier recruitment, may avoid future regulation, the right thing to do.

**Against** - costs money and may lower short-term profit, can be used only for PR, hard to measure.

**Pressures** for socially responsible behaviour: customers, employees, investors, pressure groups, media and social media, government.

## EXAM TRAP

In Carroll's pyramid, economic responsibility is at the base - a business must be profitable to survive before it can meet the other responsibilities.

## ANALYSIS CHAIN

Business commits to paying suppliers fairly → stronger supplier relationships and positive publicity → customers more loyal → but higher costs reduce margins in the short term.

## TOP GRADE CONNECTION

Judge whether CSR is genuine and whether it fits the business's strategy. For some brands it is a core part of their competitive advantage; for others it is a cost with little return.

# KO 10  3.7.6 | Technological Change

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS**

## IMPACT ON OPERATIONS

Automation and robotics, faster production, better quality, real-time inventory control.

Lower unit costs, but large investment and need for new skills.

## IMPACT ON MARKETING

Online selling, social media, digital marketing, dynamic pricing and better use of customer data.

New products and shorter product life cycles.

## IMPACT ON HR AND FINANCE

**HR** - changes to the skills needed, the nature of work and ways of working such as remote working; possible job losses in some roles.

**Finance** - new sources such as crowdfunding; faster financial information; large spending on technology to finance.

## IMPACT ON STRATEGY

New technology can create new markets, disrupt existing ones and lower barriers to entry.

Businesses must decide whether to lead, follow or ignore new technology - each carries risks.

## EXAM TRAP

Don't treat technology as automatically good. Explain the cost, the time to pay back and the effect on staff as well as the benefits.

## ANALYSIS CHAIN

Investment in automation → higher labour productivity → lower unit costs → lower prices or higher margins → but redundancies may harm morale among remaining staff.

## TOP GRADE CONNECTION

Technology only gives an advantage if competitors can't easily buy the same thing. Judge whether the business is gaining a lasting edge or just keeping up.

# KO 11  3.7.7 | Porter's Five Forces

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS**

## THE FIVE FORCES

The stronger the forces, the more competitive the market and the lower its profitability.




## THE FORCES EXPLAINED

**Threat of new entrants** - high when barriers to entry are low, e.g. low start-up costs.

**Buyer power** - high when there are few large buyers or switching is easy.

**Supplier power** - high when there are few suppliers or no substitutes for their inputs.

**Threat of substitutes** - high when customers can easily meet their need another way.

**Competitive rivalry** - high when there are many similar competitors and slow market growth.

## HOW AND WHY FORCES CHANGE

Technology can lower barriers to entry or create substitutes.

Mergers can change buyer, supplier or competitor power.

Changes in law and regulation can raise or lower barriers.

## IMPLICATIONS FOR DECISIONS

Helps decide which markets to enter and how to compete.

Strategic responses: build barriers (brand, patents), reduce supplier power (backward integration, more suppliers), reduce buyer power (differentiation, loyalty).

## EXAM TRAP

Each force needs a direction - say whether it is strong or weak and why. Listing the forces without judging their strength earns little.

## ANALYSIS CHAIN

Strong buyer power from large supermarkets → suppliers forced to accept lower prices → margins squeezed → supplier may differentiate its brand to reduce buyer power.

## TOP GRADE CONNECTION

The model shows the attractiveness of a market at one time. Judge which force matters most in the case and how it might change.

# KO 12 3.7.8 | Investment Appraisal: Payback & ARR

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

## PAYBACK

The time it takes for the net cash flows from an investment to cover its initial cost.

Part years: amount still needed ÷ net cash flow in the next year × 12 = months.

Simple and focuses on cash and risk, but ignores what happens after payback and the timing of cash within the period.

## AVERAGE RATE OF RETURN (ARR)

ARR (%) = average annual return ÷ initial cost × 100

Average annual return = (total net cash flows - initial cost) ÷ number of years

Uses all the cash flows and can be compared with other projects or interest rates, but ignores timing - a £ in year 5 counts the same as a £ in year 1.

## WORKED EXAMPLE

Cost £100,000. Net cash flows: Year 1 £30,000; Year 2 £40,000; Year 3 £50,000; Year 4 £40,000.

**Payback** - after 2 years £70,000 is recovered. £30,000 still needed ÷ £50,000 × 12 = 7.2 months. Payback = 2 years 7.2 months.

**ARR** - total net cash flows £160,000. Total profit £60,000 ÷ 4 years = £15,000 a year. ARR = £15,000 ÷ £100,000 × 100 = 15%.

## INTERPRETING RESULTS

Shorter payback means lower risk and quicker return of cash - important when cash is tight or the future is uncertain.

Compare ARR with the business's target return and with the interest rate it could earn or would pay.

## EXAM TRAP

For ARR, subtract the initial cost from the total net cash flows before dividing by the number of years. Leaving this out is the most common error.

## ANALYSIS CHAIN

Short payback → cash recovered quickly → less exposure to changes in the market → lower risk → suitable for a business short of cash.

## TOP GRADE CONNECTION

The two methods can point in different directions. A project with a high ARR may have a long payback, so the choice depends on whether the business values return or risk more.

# KO 13  3.7.8 | Investment Appraisal: NPV & Other Factors

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS**

## NET PRESENT VALUE (NPV)

Money received in the future is worth less than money today, because today's money could be invested to earn interest.

Each year's net cash flow is multiplied by a discount factor to find its present value.

NPV = total present values - initial cost. A positive NPV means the investment is worthwhile at that discount rate.

## WORKED EXAMPLE

Same project, discount factors at 10%: 0.909, 0.826, 0.751, 0.683.

£30,000 × 0.909 = £27,270; £40,000 × 0.826 = £33,040; £50,000 × 0.751 = £37,550; £40,000 × 0.683 = £27,320.

Total present value = £125,180. NPV = £125,180 - £100,000 = £25,180.

## VALUE OF NPV

Takes account of the timing of cash flows and the opportunity cost of money.

But the choice of discount rate affects the answer, it is harder to understand, and later cash flows are the hardest to forecast.

## OTHER FACTORS IN INVESTMENT DECISIONS

**Investment criteria** - the targets set, e.g. payback under 3 years, ARR over 12%.

**Non-financial factors** - fit with strategy, effect on staff, ethics, environment, brand.

**Risk and uncertainty** - cash flow forecasts may be wrong; the further ahead, the less reliable.

## EXAM TRAP

Discount factors are given in the exam - you do not calculate them. Don't forget to subtract the initial cost at the end.

## ANALYSIS CHAIN

Positive NPV at 10% → investment earns more than the 10% cost of finance → shareholder value increases → but only if the cash flow forecasts prove accurate.

## TOP GRADE CONNECTION

Investment appraisal is only as reliable as the forecasts. The best judgements combine the numbers with non-financial factors and an honest view of the risk.

# KO 1 3.8.1 | Choosing Markets & Products

AQA A-LEVEL BUSINESS 7132 - UNIT 3.8 CHOOSING STRATEGIC DIRECTION

## WHAT STRATEGIC DIRECTION MEANS

Deciding which markets the business will compete in and which products it will offer.

These are long-term decisions that commit large amounts of resources and are hard to reverse.

## FACTORS THAT INFLUENCE THE CHOICE

Corporate objectives and the owners' attitude to risk.

The business's strengths and core competences.

Finance, capacity and staff skills available.

How attractive the market is - size, growth, competition and profitability (e.g. using Porter's five forces).

The external environment - economic, political, social and technological change.

## REASONS FOR CHOOSING DIFFERENT DIRECTIONS

Existing markets may be saturated or declining.

To spread risk across more products or markets.

To use spare capacity or existing skills and brand.

To respond to competitors or to new opportunities, e.g. new technology or growing overseas markets.

## THE VALUE OF CHOOSING A CLEAR DIRECTION

Gives managers a shared focus and guides functional decisions.

Helps decide where to invest.

But the right direction depends on accurate analysis of the business's position; a poor choice can waste resources for years.

## EXAM TRAP

Strategic direction is about markets and products. Don't confuse it with strategic positioning, which is about how the business competes - on price or on the benefits it offers.

## ANALYSIS CHAIN

Home market saturated → business chooses to sell existing products overseas → new customers → sales growth resumes → but new risks from unfamiliar markets.

## TOP GRADE CONNECTION

Judge a direction by how well it fits the business's strengths and resources. A move that looks attractive on market data can fail if the business lacks the skills to deliver it.

# KO 2 3.8.1 | Ansoff's Matrix

AQA A-LEVEL BUSINESS 7132 - UNIT 3.8 CHOOSING STRATEGIC DIRECTION

## ANSOFF'S MATRIX

Shows four directions for growth, based on whether products and markets are existing or new.




## PENETRATION AND MARKET DEVELOPMENT

**Market penetration** - existing products, existing markets. E.g. more promotion or lower prices to win share. Lowest risk, but limited growth if the market is saturated.

**Market development** - existing products, new markets. E.g. new countries or new segments. Uses known products, but the business may not understand the new customers.

## NPD AND DIVERSIFICATION

**New product development** - new products, existing markets. Builds on customer knowledge and brand, but development is costly and products may fail.

**Diversification** - new products, new markets. Spreads risk across different areas, but is the highest-risk option because the business is unfamiliar with both.

## VALUE AND LIMITATIONS

**Value** - a simple way to set out options and compare risk.

**Limitations** - does not tell the business which option to pick; risk depends on how 'new' the market or product really is; ignores competitors' reactions.

## EXAM TRAP

Risk increases as the business moves away from what it knows. Diversification is the riskiest because both product and market are new - but it can also reduce overall risk by spreading it.

## ANALYSIS CHAIN

Market development into a new country → existing products sold to new customers → sales growth without development costs → but local competitors and cultural differences may limit success.

## TOP GRADE CONNECTION

The matrix shows options, not answers. Use the case to judge which option fits the business's resources, objectives and appetite for risk.

# KO 3 3.8.2 | Porter's Generic Strategies

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.8 CHOOSING STRATEGIC DIRECTION**

## PORTER'S GENERIC STRATEGIES

Three ways a business can compete: on cost or on differentiation, across a broad or a narrow market.




## LOW COST AND DIFFERENTIATION

**Cost leadership** - be the lowest-cost producer in the market. Can charge similar prices to rivals for higher margins, or lower prices to win share. Needs scale and tight cost control.

**Differentiation** - offer something customers value and see as different (quality, design, brand, service). Allows higher prices. Needs ongoing investment.

## FOCUS

Targeting a narrow segment with either a cost focus or a differentiation focus.

Lets a smaller firm serve a niche well, but the segment may be too small or attract larger rivals.

Porter argued that a firm trying to do everything risks being 'stuck in the middle' with no clear advantage.

## INFLUENCES ON THE CHOICE

The business's strengths and core competences.

Its cost structure and scale.

What customers in the market value.

The positions competitors already hold.

## EXAM TRAP

Cost leadership means the lowest costs, not necessarily the lowest prices. A cost leader can price like its rivals and earn higher margins.

## ANALYSIS CHAIN

Differentiation through design → customers see the product as unique → demand less price elastic → higher prices possible → higher margins, if the difference is valued and hard to copy.

## TOP GRADE CONNECTION

The value of a strategy depends on whether the business can sustain it. A differentiation strategy that rivals can copy quickly gives only a short-lived advantage.

# KO 4 3.8.2 | Competitive Advantage

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.8 CHOOSING STRATEGIC DIRECTION**

## WHAT IT IS

Something that allows a business to outperform its rivals, by offering better value through lower prices or greater benefits.

It comes from how the business competes - its positioning strategy.

## BENEFITS

Higher margins or higher market share.

Customer loyalty and less need to compete on price.

Stronger cash flow to reinvest.

Greater resilience when the market becomes tougher.

## DIFFICULTIES OF MAINTAINING IT

Competitors copy successful products and processes.

Technology changes can make an advantage irrelevant.

Customer tastes change.

Keeping ahead needs constant investment, e.g. in R&D, brand and staff.

## MAKING IT LAST

Advantages based on things that are hard to copy - patents, brand reputation, culture, skills, relationships with suppliers - tend to last longer.

Advantages based only on price or a single feature are easier to copy.

## EXAM TRAP

A competitive advantage must be something customers value. Being different is not enough if customers don't care about the difference.

## ANALYSIS CHAIN

Strong brand reputation built over years → hard for new rivals to copy → customers stay loyal → business keeps premium prices → advantage sustained.

## TOP GRADE CONNECTION

The key question is how long the advantage will last. Judge what it is based on and how easily competitors could match it.

# KO 1 3.9.1 | Growth & Retrenchment

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES**

## REASONS TO GROW

Economies of scale and lower unit costs.

Greater market power over suppliers and customers.

Spreading risk across more products or markets.

Higher profits and rewards for owners and managers.

Survival - avoiding being taken over.

## REASONS TO RETRENCH

Retrenchment means cutting back the scale of the business, e.g. closing sites, selling divisions, reducing staff.

Reasons: falling demand, losses, diseconomies of scale, a need to raise cash or focus on core activities.

## ORGANIC AND EXTERNAL GROWTH

**Organic growth** - growing from within, e.g. opening new stores, launching new products. Lower risk, keeps control and culture, but slow.

**External growth** - joining with or buying other businesses. Fast, brings new skills and markets, but costly and risky.

## IMPACT ON FUNCTIONAL AREAS

**Marketing** - wider range of markets and products to manage.

**Operations** - capacity, supply chains and quality across more sites.

**Finance** - funding the growth, cash flow pressures.

**HR** - recruitment, training, structure and culture; retrenchment means redundancies and lower morale.

## EXAM TRAP

Growth is not automatically good. A business can grow too large and suffer diseconomies of scale, or grow too fast and run out of cash.

## ANALYSIS CHAIN

Organic growth through new stores → more sales without taking on another firm's problems → culture and control kept → but growth is slow and rivals may move faster.

## TOP GRADE CONNECTION

Judge growth by whether it fits the business's objectives and resources. For some owners, staying small and profitable is a sensible choice.

# KO 2 3.9.1 | Economies, Diseconomies & Overtrading

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES**

## ECONOMIES OF SCALE

Unit costs fall as the scale of the business increases.

**Technical** - larger, more efficient equipment and production methods.

**Purchasing** - bulk-buying discounts.

**Managerial** - can afford specialist managers.

## ECONOMIES OF SCOPE AND SYNERGY

**Economies of scope** - lower costs from producing a range of products, by sharing resources such as distribution, brand or staff.

**Synergy** - when two businesses or activities combined achieve more than they would separately (2 + 2 = 5), e.g. after a merger.

## DISECONOMIES OF SCALE

Unit costs rise as the business grows too large.

Causes: poor communication through many layers, coordination problems, lower motivation as staff feel less valued.

## OVERTRADING

When a business grows faster than its working capital can support.

It takes on more orders than it can finance, so it runs short of cash to pay suppliers and wages - even though sales and profit are rising.

### EXAM TRAP

Economies of scope are not economies of scale. Scope comes from a range of products sharing resources; scale comes from producing more of the same.

### ANALYSIS CHAIN

Growth → more layers of management → slower, distorted communication → poor coordination and lower morale → unit costs start to rise → diseconomies of scale.

### TOP GRADE CONNECTION

Synergy is often promised but not achieved. Judge whether the expected cost savings are realistic and whether culture clashes could cancel them out.

# KO 3 3.9.1 | Methods & Types of Growth

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

## METHODS OF EXTERNAL GROWTH

**Merger** - two businesses agree to join together as one.

**Takeover** - one business buys a controlling interest in another.

**Joint venture** - two businesses set up a separate project or business together, sharing costs and risks.

**Franchising** - the franchisor lets franchisees use its brand and business model in return for fees. Fast growth with less capital, but less control.

## HORIZONTAL AND CONGLOMERATE

**Horizontal integration** - joining with a business at the same stage of production in the same industry. Gains market share and economies of scale, but may face competition authorities.

**Conglomerate integration** - joining with a business in an unrelated industry. Spreads risk, but the business may lack expertise in the new area.

## VERTICAL INTEGRATION

**Backward** - buying a supplier. Secures supplies, controls quality and cost, reduces supplier power.

**Forward** - buying a business closer to the customer, e.g. a retailer. Controls distribution and gains access to customers.

## ASSESSING THE METHODS

Speed, cost, control, risk and fit with objectives.

Many mergers and takeovers fail to add value because of culture clashes, overpaying and integration problems.

## EXAM TRAP

Get the direction right. Buying a supplier is backward vertical integration; buying a retailer that sells your products is forward vertical integration.

## ANALYSIS CHAIN

Horizontal takeover of a rival → larger market share → purchasing economies of scale → lower unit costs → but culture clashes may reduce the expected savings.

## TOP GRADE CONNECTION

The method matters as much as the decision to grow. Franchising may achieve fast growth with little capital; a takeover gives control but at high cost and risk.

# KO 4 3.9.2 | Innovation

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

## TYPES OF INNOVATION

**Product innovation** - new or improved goods and services.

**Process innovation** - new or improved ways of producing or delivering them.

## PRESSURES FOR INNOVATION

Competitors launching new products.

Changing customer tastes and expectations.

New technology.

Shorter product life cycles.

Pressure to cut costs or meet environmental targets.

## THE VALUE OF INNOVATION

Product innovation can create differentiation, allow higher prices and open new markets.

Process innovation can cut costs, improve quality and speed up production.

But it is costly and uncertain - many innovations fail.

## IMPACT ON FUNCTIONAL AREAS

**Marketing** - research, launch and promotion of new products.

**Operations** - new equipment and processes.

**Finance** - funding R&D with no guaranteed return.

**HR** - recruiting skilled staff, training, a culture that encourages ideas.

## EXAM TRAP

Innovation is not only about new products. Process innovation can be just as valuable, especially for a business competing on cost.

## ANALYSIS CHAIN

Process innovation → faster production with fewer faults → lower unit costs → cost advantage over rivals → higher margins or lower prices.

## TOP GRADE CONNECTION

Judge innovation by whether it creates value customers will pay for and whether the business can protect it long enough to earn a return.

# KO 5 3.9.2 | Becoming Innovative & Protecting Ideas

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

## KAIZEN AND R&D

**Kaizen** - continuous improvement through many small changes, usually suggested by staff.

**Research and development** - investing in scientific and technical work to create new products and processes. Can lead to breakthroughs, but expensive and uncertain.

## INTRAPRENEURSHIP AND BENCHMARKING

**Intrapreneurship** - encouraging employees to act like entrepreneurs inside the business, developing and running new ideas.

**Benchmarking** - comparing the business's performance and methods with the best in the industry or beyond, then adopting better practices.

## BUILDING AN INNOVATIVE CULTURE

Leadership that encourages ideas and accepts that some will fail.

Time and money for staff to develop ideas.

Flatter structures and good communication.

## PROTECTING INNOVATION

**Patents** - give the owner the sole right to make and sell an invention for a set period. Others must pay to use it.

**Copyright** - protects original written, musical, artistic and other creative work automatically.

Protection lets the business earn a return on its investment, but patents are costly, must be defended and the design becomes public.

## EXAM TRAP

Kaizen is many small, continuous improvements - not a single big change. Benchmarking means learning from others, not copying their products.

## ANALYSIS CHAIN

Patent granted on a new process → rivals can't legally copy it → business keeps its cost advantage for years → returns on R&D are protected.

## TOP GRADE CONNECTION

The right approach depends on the business. Kaizen suits steady improvement in established processes; R&D and intrapreneurship suit businesses that need breakthroughs.

# KO 6 3.9.3 | Globalisation & Emerging Economies

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

## WHAT GLOBALISATION MEANS

The growing integration of economies around the world through trade, investment, the movement of people and the spread of technology.

## REASONS FOR GREATER GLOBALISATION

Fewer trade barriers and more trade agreements.

Cheaper, faster transport and communications.

Growth of the internet and e-commerce.

Growth of multinational businesses and global brands.

## IMPORTANCE FOR BUSINESS

Larger markets and more customers.

Access to cheaper materials and labour.

Economies of scale.

But more foreign competition and greater exposure to events in other countries.

## EMERGING ECONOMIES

Economies growing quickly as they industrialise.

**Importance** - fast-growing middle classes with rising incomes, large populations, lower costs, and new competitors emerging from them.

Risks can include political instability, weaker legal systems and poorer infrastructure.

## EXAM TRAP

Globalisation is not just selling abroad. It also affects where businesses buy materials, produce goods and recruit staff - and brings foreign competition into the home market.

## ANALYSIS CHAIN

Rising incomes in an emerging economy → growing demand for branded consumer goods → UK firm enters the market → sales growth → but must adapt to local tastes and competition.

## TOP GRADE CONNECTION

Emerging economies offer growth but also risk. Judge the balance using the business's resources, its experience abroad and the specific market's stability.

# KO 7 3.9.3 | Entering International Markets



## REASONS TO TRADE INTERNATIONALLY

Saturated home market, so growth must come from abroad.

Spreading risk across different economies.

Economies of scale from higher output.

Extending the product life cycle in new markets.

## ATTRACTIVENESS OF A MARKET

Size and growth of the market and levels of income.

Competition.

Ease of doing business - laws, political stability, trade barriers.

Infrastructure, culture, language and exchange rate risk.

## METHODS OF ENTRY

**Exporting** - selling products made at home to overseas customers. Low risk but less control.

**Licensing** - allowing a foreign firm to make the product for a fee. Low cost, but less control and risk of the idea being copied.

**Alliances** - working with a local partner, sharing knowledge and risk, but sharing control and profit.

**Direct investment** - setting up or buying operations abroad. Full control, but high cost and risk.

## BECOMING A MULTINATIONAL

A multinational has operations in more than one country.

Benefits: close to customers, avoids trade barriers, lower costs. Drawbacks: high investment, harder to manage, may face criticism over ethics or tax.

## EXAM TRAP

Licensing is not exporting. With licensing the foreign firm makes the product; with exporting the business makes it at home and sends it abroad.

## ANALYSIS CHAIN

Alliance with a local distributor → access to local knowledge and contacts → faster market entry and lower risk → but profit and control are shared.

## TOP GRADE CONNECTION

The right entry method depends on how much control, risk and investment the business is prepared to accept. Many firms start by exporting and move to direct investment as they learn the market.

# KO 8 3.9.3 | Producing Abroad & Managing International Business

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

## OFF-SHORING AND RE-SHORING

**Off-shoring** - moving production or services to another country, usually to cut costs. Lower labour and other costs, but longer supply chains, quality concerns and possible reputational damage.

**Re-shoring** - bringing production back home. Faster, more reliable supply and better quality control, 'made in the UK' appeal, but higher costs.

## REASONS FOR PRODUCING AND SOURCING ABROAD

Lower labour and material costs.

Access to skills or resources not available at home.

Being closer to overseas customers.

Avoiding tariffs and other trade barriers.

## INFLUENCES ON BUYING, SELLING AND PRODUCING ABROAD

Costs, exchange rates, trade barriers, transport and lead times.

Political stability, laws and regulation.

Infrastructure and the skills of the local workforce.

Ethical issues, e.g. working conditions in supplier factories.

## PRESSURES IN MANAGING INTERNATIONAL BUSINESS

**Pressure for local responsiveness** - adapting products, marketing and operations to local tastes, cultures and laws.

**Pressure for cost reduction** - standardising products and processes across countries to gain economies of scale.

Businesses must balance the two.

## EXAM TRAP

Off-shoring does not always reduce costs overall. Transport, quality problems, longer lead times and management costs can cancel out lower wages.

## ANALYSIS CHAIN

Strong pressure for local responsiveness → products adapted for each country → better fit with local tastes → higher sales → but fewer economies of scale and higher unit costs.

## TOP GRADE CONNECTION

Recent supply chain disruptions have led some firms to re-shore. Judge the decision by balancing cost against reliability, speed and reputation.

# KO 9 3.9.4 | Digital Technology

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

## TYPES OF DIGITAL TECHNOLOGY

**Automation** - machines and software doing tasks once done by people.

**E-commerce** - buying and selling online.

**Big data** - very large sets of data collected from customers, sales, devices and websites.

**Data mining** - analysing big data to find patterns, e.g. what customers buy together.

## PRESSURES TO ADOPT

Competitors using it to cut costs or improve service.

Customers expecting online ordering and personalised offers.

Falling cost of technology.

Pressure to raise productivity and cut costs.

## THE VALUE OF DIGITAL TECHNOLOGY

Lower costs and higher productivity.

Better understanding of customers, more targeted marketing.

Access to wider markets through e-commerce.

Faster, better-informed decisions.

## DIFFICULTIES

High set-up costs and the need for new skills.

Staff resistance and possible job losses.

Data security, privacy and ethical concerns.

Rapid change means technology can become out of date quickly.

## EXAM TRAP

Big data is only useful once it has been analysed. Collecting data is not the same as using it - data mining turns it into information for decisions.

## ANALYSIS CHAIN

Data mining of customer purchases → patterns identified → personalised offers sent → higher conversion rates → more revenue per customer.

## TOP GRADE CONNECTION

Digital technology rarely gives a lasting advantage on its own because rivals can buy the same systems. The advantage comes from how well the business uses it.

# KO 1 3.10.1 | Causes & Types of Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE

## CAUSES OF AND PRESSURES FOR CHANGE

**Internal** - new leadership, growth, new strategy, poor performance, new technology adopted by the business.

**External** - competitors, changes in the economy, laws, technology and customer tastes.

## TYPES OF CHANGE

**Incremental change** - gradual, small steps. Easier to manage and less resistance.

**Disruptive change** - sudden, major change that can transform a market, e.g. a new technology. Harder to plan for and can threaten survival.

Change can also be classed as internal or external depending on where it starts.

## THE VALUE OF CHANGE

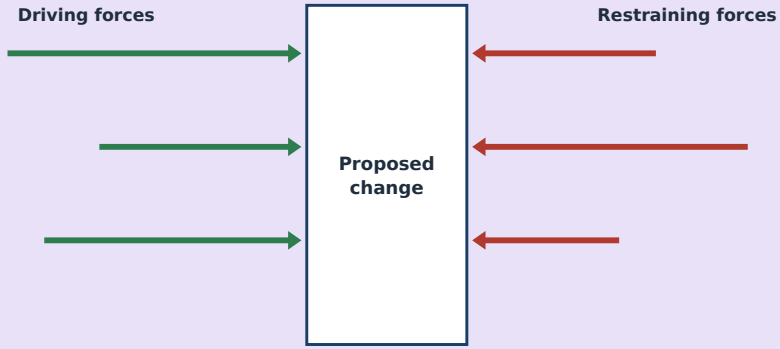
Keeps the business competitive and relevant.

Can cut costs, improve quality and open new markets.

But change costs money, takes time and can disrupt the business and upset staff.

## LEWIN'S FORCE FIELD ANALYSIS

Change happens when driving forces are stronger than restraining forces.




## EXAM TRAP

Force field analysis isn't just a list. Weight the forces and explain how managers can strengthen driving forces or weaken restraining ones.

## ANALYSIS CHAIN

Disruptive new technology from a rival → customers start switching → strong driving force for change → business invests in new technology → but staff fear for jobs, a restraining force to manage.

## TOP GRADE CONNECTION

Judge whether change should be incremental or rapid by how quickly the market is moving. Gradual change is easier to manage but may be too slow in a disrupted market.

# KO 2 3.10.1 | Flexible Organisations & Knowledge

AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE

## RESTRUCTURING AND DELAYERING

**Restructuring** - changing the organisational structure, e.g. from functional to product-based, to fit a new strategy.

**Delayering** - removing levels of management. Lower costs, faster communication and more empowerment, but heavier workloads and loss of experience.

## FLEXIBLE EMPLOYMENT CONTRACTS

E.g. part-time, temporary and zero-hours contracts, and flexible hours.

Let the business adjust its workforce to demand and cut costs, but staff may feel less secure and less committed.

## ORGANIC V MECHANISTIC STRUCTURES

**Mechanistic** - rigid hierarchy, clear rules, narrow roles. Suits stable environments.

**Organic** - flexible, fewer rules, shared roles, communication across the business. Suits fast-changing environments and innovation.

## MANAGING INFORMATION AND KNOWLEDGE

Collecting, sharing and using the information and know-how held by the business and its staff.

Helps the business respond to change, avoid repeating mistakes and keep knowledge when staff leave.

The value of a flexible organisation is that it can respond quickly to change.

## EXAM TRAP

Delayering is not the same as redundancy in general. It removes whole management layers, which changes the structure and widens spans of control.

## ANALYSIS CHAIN

Delayering → fewer management levels → faster communication and decisions → business responds more quickly to customers → but remaining managers may be overloaded.

## TOP GRADE CONNECTION

Flexibility has costs as well as benefits. Judge whether the gain in speed and cost outweighs the loss of security and commitment among staff.

# KO 3 3.10.1 | Resistance to Change

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE**

## KOTTER AND SCHLESINGER - FOUR REASONS FOR RESISTANCE

**Parochial self-interest** - staff worry about what they will personally lose.

**Misunderstanding and lack of trust** - staff don't understand the change or don't trust managers.

**Different assessments** - staff believe the change will not work or is not needed.

**Low tolerance for change** - staff fear change and value stability.

## SIX WAYS OF OVERCOMING RESISTANCE (1-3)

**Education and communication** - explain the reasons for change.

**Participation and involvement** - involve staff in planning the change.

**Facilitation and support** - training, counselling and time to adjust.

## SIX WAYS OF OVERCOMING RESISTANCE (4-6)

**Negotiation and agreement** - offer something in return, e.g. pay or job guarantees.

**Manipulation and co-optation** - e.g. giving resisters a token role in the change.

**Explicit and implicit coercion** - forcing change, e.g. threatening job losses.

## CHOOSING AN APPROACH

Depends on the reason for resistance, the time available, the power of those resisting and the risk if change fails.

Approaches near the start of the list take longer but build commitment; coercion is fast but can damage trust.

## EXAM TRAP

Match the method to the reason for resistance. Education helps when the problem is misunderstanding; it does little when staff will genuinely lose out.

## ANALYSIS CHAIN

Staff resist new shift patterns out of self-interest → negotiation offers higher pay for unsocial hours → agreement reached → change goes ahead with less disruption, but at a cost.

## TOP GRADE CONNECTION

Strong answers diagnose the cause of resistance in the case before choosing a method, and weigh speed against long-term trust.

# KO 4 3.10.2 | Organisational Culture

AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE

## WHAT CULTURE IS AND WHY IT MATTERS

The shared values, attitudes and beliefs that shape how people in the business behave - 'the way we do things around here'.

Affects motivation, decision making, customer service, how staff respond to change and the success of strategy.

## HANDY'S FOUR CULTURES

**Power** - power held by one person or a small group at the centre. Fast decisions, but depends on the leader.

**Role** - bureaucratic, based on rules and job descriptions. Stable and predictable, but slow to change.

**Task** - teams formed to complete projects; expertise matters more than position. Flexible and creative, but hard to control.

**Person** - the organisation exists to serve the individuals in it, e.g. some partnerships of professionals.

## INFLUENCES ON CULTURE

The founder and current leaders.

History and past successes.

Size and structure.

Recruitment and the type of staff.

The industry and its environment.

## CHANGING CULTURE

**Reasons** - new strategy, poor performance, merger, change of leader, scandal.

**Problems** - culture is deep-rooted and changes slowly; staff resist; it is hard to measure; takes strong, consistent leadership.

## EXAM TRAP

Culture is not the same as structure. Two businesses with the same structure can have very different cultures.

## ANALYSIS CHAIN

Role culture with strict procedures → slow response to new competitors → shift towards task culture → faster, more creative decisions → but less control and consistency.

## TOP GRADE CONNECTION

Culture often explains why a strategy fails. Judge whether the existing culture supports the strategy in the case, and how long changing it would take.

# KO 5 3.10.3 | Implementing Strategy

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE**

## LEADERSHIP

Leaders set the direction, explain why the strategy matters, make resources available and set an example.

Without committed leadership, staff are unlikely to support a new strategy.

## COMMUNICATION

Staff at every level need to understand the strategy and their part in it.

Two-way communication allows concerns to be raised and ideas to be shared.

Poor communication leads to confusion and resistance.

## ORGANISATIONAL STRUCTURE

The structure must fit the strategy, e.g. international expansion may need a regional structure; innovation may need a flatter, more organic structure.

A structure that doesn't fit slows decisions and creates conflict.

## IMPLEMENTING EFFECTIVELY

Clear objectives and plans with milestones.

Adequate resources - finance, staff, time.

Monitoring progress and adjusting where needed.

Network analysis can help plan and control complex projects.

## EXAM TRAP

A good strategy can still fail if it is badly implemented. Don't assume that choosing the right strategy is enough.

## ANALYSIS CHAIN

Strategy communicated clearly to all staff → people understand their role → decisions at every level support it → strategy implemented faster and more consistently.

## TOP GRADE CONNECTION

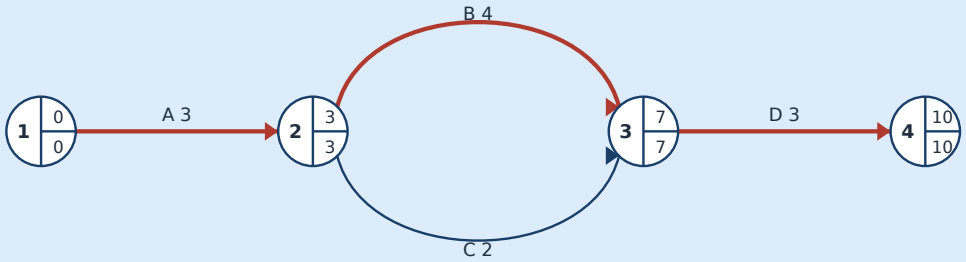
Judge the likely success of a strategy by the quality of leadership, communication and structure behind it, not only by how good the plan looks.

# KO 6 3.10.3 | Network Analysis

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE**

## NETWORK DIAGRAM

A: 3 days. B (after A): 4 days. C (after A): 2 days. D (after B and C): 3 days.




Node: number | EST (top) | LFT (bottom). Critical path in red.

## READING THE DIAGRAM

Circles (nodes) show the start and end of activities. Each node shows its number, the earliest start time (EST) and the latest finish time (LFT).

Arrows show activities and their duration.

**EST** - the earliest the next activity can start.

**LFT** - the latest the previous activity can finish without delaying the project.

## CRITICAL PATH AND TOTAL FLOAT

**Critical path** - the activities with no float; any delay to them delays the whole project. Here A-B-D, 10 days.

Total float = LFT - duration - EST

Activity C: 7 - 2 - 3 = 2 days of float.

Amending a diagram: add or change activities, then recalculate ESTs and LFTs.

## THE VALUE OF NETWORK ANALYSIS

Shows the minimum project time and which activities are critical.

Helps plan resources and spot where float allows flexibility.

But durations are estimates, it does not guarantee activities finish on time, and it needs updating as things change.

## EXAM TRAP

Use the LFT at the end of the activity and the EST at the start. Many errors come from taking the times from the wrong node.

## ANALYSIS CHAIN

Activity B delayed by 2 days → it is on the critical path → whole project finishes 2 days late → extra costs and possible penalties.

## TOP GRADE CONNECTION

Network analysis is a planning tool, not a promise. Judge how reliable the duration estimates are and what would happen if a critical activity overran.

# KO 7 3.10.4 | Why Strategies Fail

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE**

## DIFFICULTIES OF STRATEGIC DECISIONS

Decisions are long-term and made with incomplete information.

The environment can change unexpectedly.

Implementation depends on many people and resources.

Managers may be biased or overconfident.

## PLANNED V EMERGENT STRATEGY

**Planned** - decided in advance by senior managers and then implemented.

**Emergent** - develops over time as the business responds to events and learns what works.

Most businesses combine the two.

## STRATEGIC DRIFT

When a business's strategy gradually falls out of line with a changing environment, often because managers stick with what worked in the past.

Performance declines slowly until a crisis forces change.

## EVALUATING STRATEGIC PERFORMANCE

Compare results with objectives, with past performance and with competitors.

Use financial and non-financial measures over the short and long term.

Ask whether poor results come from the strategy itself or from how it was implemented.

## EXAM TRAP

Strategic drift is gradual, not a sudden failure. It happens when the business keeps doing what used to work while the market moves on.

## ANALYSIS CHAIN

Retailer sticks with its store-based strategy → customers move online → sales decline slowly → strategic drift → crisis forces a costly change later.

## TOP GRADE CONNECTION

When judging failure, separate the strategy from its implementation and from bad luck. A sensible strategy can fail because of an external shock no one could have predicted.

# KO 8 3.10.4 | Strategic & Contingency Planning

**AQA A-LEVEL BUSINESS 7132 - UNIT 3.10 MANAGING STRATEGIC CHANGE**

## THE VALUE OF STRATEGIC PLANNING

Gives a clear direction and coordinates the business.

Forces managers to analyse the business's position and options.

Helps allocate resources and measure progress.

## LIMITATIONS OF STRATEGIC PLANNING

Plans can become out of date quickly in a changing environment.

Can make the business rigid and slow to respond.

Takes time and money.

## CONTINGENCY PLANNING

Planning in advance for events that might happen, e.g. the loss of a major supplier, an IT failure or a fire.

Means the business can respond quickly and limit damage, but costs time and money for events that may never happen.

## CRISIS MANAGEMENT

Responding to an unexpected event that threatens the business, e.g. a product recall or a scandal.

Needs fast decisions, clear leadership and honest communication with stakeholders.

Good crisis management can protect reputation; poor handling can make the damage far worse.

## EXAM TRAP

Contingency planning happens before an event; crisis management happens during it. Don't use the terms as if they mean the same thing.

## ANALYSIS CHAIN

Contingency plan for a supplier failure in place → second supplier already approved → production continues when the main supplier fails → sales and reputation protected.

## TOP GRADE CONNECTION

The value of planning depends on how predictable the environment is. In a fast-changing market, flexibility and good contingency plans may matter more than a detailed long-term plan.